Skills

Advanced Assurance



AAPQs

2026

Module mapping

The below **table 1** shows modules covered by each Additional Assessment Practice Question. There will often be multiple modules addressed in each question, so in order to assist you with knowing when you can attempt each question, please see **table 2**.

Table 1:

Module No.	Module title	AAPQ
1	Professional ethics	15, 22
2	Evaluating data integrity	4
3	Audit acceptance and continuance decisions	11
4	Audit planning	5, 12, 13, 17, 19
5	Specific risk areas and the impact on the audit approach	3, 11, 18
6	Internal control testing	5, 6, 14, 18, 19, 27
7	Substantive procedures – part 1	1, 21
8	Substantive procedures – part 2	5, 7, 13, 25
9	Substantive procedures – part 3	7, 9, 10, 13, 18
10	Completion and reporting	2, 8, 16, 20, 23, 24, 28
11	Group audit	12
12	Other assurance engagements and related services	2, 11, 26

The following questions can be attempted once this module has been completed:

Question	Company name	Can be attempted after module:
1	Happy Flying Ltd	7
2	Ship Ahoy Clothes	12
3	Caring Medical Supplies Group	5
4	Lamb Fermented Beverages Group plc	2
5	Icarus Failsafe Systems Ltd	8
6	E–Brokersinsurance4U Ltd	6
7	Macivie Construction Group plc	9
8	Airline Braking Systems Ltd	10
9	Turbolite Ltd	9
10	Sailing Limited	9
11	Nibbles Snacks Limited	12
12	SJK Group Ltd	11
13	Lovely Drinks Company Ltd	9
14	Pharmalux Limited	6
15	Dalriada Dairy Products plc	1
16	High Five Ltd	10
17	Hobson Mowers Limited	4
18	Pet–Trad Ltd	9
19	Magma Laser Components Ltd	6
20	Crown Insurance Ltd	10
21	Hilltop Wood Limited	7
22	Fiver Staffing plc	1
23	Golden Advisory Ltd	10
24	Renew Clothing plc	10
25	PBN Services Ltd	8
26	Yoga Fanatics Limited	12
27	Sinclair's Limited	6
28	Pizza 4 Now Limited	10

Question 1 (17 marks)

You are the audit senior on the audit of the financial statements of Happy Flying Ltd for the yearended 30 April 20X8. You are to perform the substantive analytical procedures of property, plantand equipment ('PPE') to assess the reasonableness of the depreciation charge for the year.

You have obtained the following information concerning PPE for the year ended 30 April 20X8.

	Property Plant & Equipment Note 1	Property Plant & Equipment Note 2	Computer Equipment
	£'000	£'000	£'000
Cost or valuation at 30 April 20X8	36,000	15,300	950
Accumulated depreciation at 1 May 20X7	4,560	5,685	400
Depreciation for the year	540	2,115	179
Depreciation rate	2% straight line	15% straight line	33% diminishing balance

1. The property portfolio was revalued on 31 October 20X7 by an independent professional firm and is now valued at £36,000k. Prior to the revaluation, the property portfolio was held at original cost of £27,000k. It was confirmed that the depreciation rate of 2% straight line was still deemed appropriate.
2. From the review of the board minutes, you have noted that plant & equipment with a cost of £500,000 and fully written down at 30 April 20X7 was sold during the year and replaced by £950,000 of new plant & equipment.

Differences of over £76,000 are considered to be significant.

Required:

1. Perform a substantive analytical review to analyse the reasonableness of the depreciation charge for the year for each category of PPE.

(9 marks)

2. Analyse the reasons for variance between expectations and actual depreciation charge.

(8 marks)

(17 marks)

Question 2 (37 marks)

It is June 2X18 and you are the audit manager on the audit of the financial statements of Ship Ahoy Clothes Ltd, ('Ship') a chain of 15 shops selling hand–crafted nautical clothes. Ship is a member of the Excelcior Ltd ('Excelcior') group and has been an audit client for several years. Your firm do not audit any other components of the Excelcior group but have undertaken other assurance engagements for its components in the past.

Ship has been experiencing significant trading difficulties caused by price competition from online suppliers of similar products.

You are reviewing the matters contained in the audit highlights memorandum for the year ended 31 March 2X18 (Appendix 1), and your audit partner has asked you to advise on the potential impact on the audit report and audit opinion of each matter, advising on whether it is appropriate to issue an unmodified audit report. You have also noted from a review of the audit file that Excelcior has not yet issued a letter of support to Ship. This has been provided in previous years.

A few days ago the finance director from Berthing Ltd (Berthing), a member of the Excelior group approached your audit firm to request that it certify an accreditation return to the National Yacht and Harbour Association (NYHA). Your audit partner has provided a briefing note (Appendix 2) with further information on Berthing and the proposed engagement. He has asked you to prepare a memo explaining the key elements to be considered in concluding whether this proposed engagement would be classed as an assurance engagement and, if so, what level of assurance would be provided, so that he can consider whether to accept and propose a suitable fee.

Required:

1. Advise on the potential impact on the audit report and audit opinion of each of the above matters.

(20 marks)

2. Explain the key elements to be considered when concluding whether this assignment could be classified as an assurance engagement

(10 marks)

3. Explain the alternative levels of assurance that could be provided and recommend which level of assurance would be appropriate for this assignment.

(7 marks)

(37 marks)

APPENDIX 1 (QUESTION 2) – extract from audit highlights memorandum for Ship Ltd

Overall materiality is £50,000 and Ship's draft financial statements show a profit of £910,000.

1. During the year the company exceeded its bank overdraft limit of £500,000. Review of correspondence from the bank indicated that the overdraft is unsecured, due for renewalon 1 September 2X18 and that the bank is not willing to increase the facility. The bank isinsisting that the balance is brought back within the agreed limits. On 10 June 20X8 theoverdraft was £533,092 per the bank statement.

2. Following a VAT inspection by HMRC, several errors were identified where Ship had incorrectly claimed input VAT. If HMRC decides to impose the maximum penalties andinterest charges, the company will be liable for an additional payment to HMRC of £52,000. The tax department agrees with HMRC's estimate, but the board has refused toaccept this and have not provided for this amount in the financial statements.

APPENDIX 2 (QUESTION 2) – briefing note from audit partner concerning Berthing

Berthing operates a marina occupying a two–acre site on the west coast of Wales. This providespontoons for berthing on the sea, refuelling, storage of boats on land, and laundry and toiletingfacilities for their many customers. Berthing's customers include commercial companies who make their living from the sea and private leisure boat owners.

Berthing is working towards a national accreditation regulated by the NYHA. The accreditation iscalled the 'Gold Starfish' accreditation. The achievement of the award is a significant achievement in the industry and would result in increased trade for the company.

The Gold Starfish accreditation is an environmental award that evaluates the company's environmental policy and procedures and its environmental facilities.

There are rigorous standards which Berthing must achieve to obtain accreditation and these areall detailed in the accreditation documentation. The environmental policy and procedures include the implementation of guidelines for facility users on best practice of boating in relationto the environment. The guidelines cover the implementation of waste recycling, oil and paintdisposal, fuel spillage contingency plans and sewerage pump–out facilities.

Accreditation returns submitted to the NYHA require the attachment of specific supporting documentation by the applicant for the previous two years up to the end of May 2X18. The NYHA require applicants to obtain independent certification that the contents of this supporting documentation are materially correct.

Additionally, Berthing is required to keep documentation that details all incidents at the premisesthat have an environmental impact and how they were satisfactorily dealt with. The finance director highlighted that there had been a fuel spillage from a fishing vessel and land contamination from a leaking oil tank. These incidents have both occurred in the last two years.Both items are noted in Berthing's environmental log which was introduced during December2X16.

Question 3 (16 marks)

It is July 20X4. You are an audit manager with Rubicon & Co ('Rubicon'), a firm of registered auditors. You are responsible for the audit of Caring Medical Supplies Group ('the Group') and areplanning the audit for the year ending 30 November 20X4. Rubicon audits all the group companies.

At present, there are two companies within the group. Caring Medical Supplies plc ('Caring') is theholding company and operates from the group headquarters in Edinburgh. Caring controls thestatutory administration for the group and levies management charges on the subsidiary. CaringSurgical Ltd ('Surgical') is a wholly owned subsidiary engaged in the design and sale of surgicalequipment.

The group is engaged in the worldwide design and sale of surgical equipment and the sale of othermedical supplies and equipment. The group benefits greatly from the research of Dr Sharon Brown, the technical director, who is a leading specialist in the field of developing surgical equipment. Caring designs the surgical equipment and once the design is approved by the UK, EUand American authorities, it is sold by Caring to a US manufacturer, Fishers Inc ('Fishers'), ofwhich Dr Sharon Brown is also a director and majority shareholder. Fishers adds its expertise tocomplete the detailed specification and manufacture the equipment. Fishers sells the equipmentin non–European markets. Caring has a licence to sell the equipment in the UK & Europe and receives commission for the sale of each unit of equipment when it is sold.

The design of the equipment and subsequent sales in the UK & Europe are made by Surgical.Surgical is responsible for the marketing of the equipment worldwide and the sale commissionsreceived from Fishers for each unit sold reflects this.

The audit partner, Adam, has advised you that the audit team had problems in previous yearsauditing related party transactions. Because of this, and his understanding of the transactions, heconsiders there to be a high risk of material misstatement in relation to the identification of relatedparties and management's accounting for and disclosure of related parties. He would like you toprovide him with a list of procedures to allow the audit team to obtain an understanding of, and toconfirm the completeness of, related parties identified for the purposes of the audit. He wouldalso like you to design substantive procedures to test management's accounting and disclosureof related party transactions.

Required:

Design the audit procedures required to allow the audit team to:

a) Obtain an understanding of and to confirm the completeness of related parties identified for the purposes of the audit; and

(8 marks)

b) Test management's accounting and disclosure of related party transactions

(8 marks)

(16 marks)

Question 4 (25 marks)

It is early in July X9. You are a recently qualified CA who trained at an audit firm but who now works in the finance team of Lamb Fermented Beverages Group plc ('Lamb'), a large brewery group.

Lamb recently acquired a 100% shareholding in small, rural craft brewery in Yorkshire, England, called Proctor Brews Ltd ('Proctor'), to enhance Lamb 's product portfolio.

A due diligence review during the acquisition process raised some concerns over Proctor's financial administration and asset management. This review, combined with the wider upheaval of the takeover, prompted Proctor's financial controller to retire from their role.

Proctor's financial reporting year ended on 30 June X9. The process for preparing Proctor's financial statements has not yet begun and, considering the concerns raised by the recent review and the loss of the financial controller, your manager has asked you to urgently assess the accuracy, validity and completeness of Proctor's data relating to property, plant and equipment ('PPE'). They have also asked you to conclude on whether the data is appropriate for use in preparing Proctor's financial statements for the year ending 30 June 20X4, and the subsequent audit of these financial statements.

You have begun by extracting a sample of PPE assets from Proctor's Fixed Asset Register ('FAR') as at 30 June 20X9 (Appendix 1). You have also found related documents at Proctor's offices. These documents, and some other information you have sourced yourself, are at Appendix 2. These include:

1. Proctor Policy – Accounting for tangible non–current assets
2. Email from Proctor estates manager
3. Email from Proctor fleet manager
4. Three invoices
5. GBP:EUR exchange rate (notes)
6. Analysis of miscellaneous expenses

Required:

Perform procedures to confirm the accuracy, validity and completeness of Proctors' data relating to its PPE assets. Document and evaluate the results of your procedures, including any issues identified with the data.

Form an overall conclusion as to whether the data is appropriate for use in the preparation of Proctor's financial statements for the year to 30 June 20X4 and the subsequent audit of these financial statements.

You are <u>not</u> required to identify any further evidence or work that should be performed.

(25 marks)

Appendix 1 – Sample Extract of Proctor FAR1 as at 30 June X9

Asset reference	Asset Description	Date of purchase	Cost	Useful life	Estimated residual value	Accumulated depreciation and impairment	Carrying amount brought forward	Depreciation charge in 20X8–9	Impairment charge in 20X8–9	Carrying amount as at 30 June X9
AR10012	Warehouse building A	01/07/X0	£203,000	25 years	£0	£64,960	£138,040	£5,522	nil	£132,518
AR10114	Lorry #13	12/5/X6	£72,000	5 years	£14,400	£24,960	£47,040	£11,520	nil	£35,520
AR10164	Atlas light van #9	01/06/X9	£24,000	10 years	£2,400	Nil – addition	Nil – addition	£180	nil	£23,820
AR10167	Conveyor belt, Bottling Plant 1	23/06/X9	£96,000	10 years	£10,000	Nil – addition	Nil – addition	£717	nil	£95,283
AR10169	Gas injector, Bottling Plant 2	30/06/X9	£51,170	10 years	£5,000	Nil – addition	Nil – addition	£1,924	nil	£49,246

[1] The FAR is a module of a market–leading accountancy software package. You can assume it is arithmetically reliable throughout ie: depreciation charges, accumulation of depreciation, and casting are all calculated reliably, based on the asset data held.

Appendix 2 – Other information

1. Proctor Policy – Accounting for tangible non–current assets

This policy applies to all tangible non–current assets held by Proctor.

A Initial Recognition

A non–current asset shall be recognised when:

- It is probable that future economic benefits associated with the asset will begin to flow to the entity.
- The cost of the asset can be measured reliably.
- Proctor recognises a Right of Use Asset for vehicles etc that are leased but not owned by Proctor. See the related Proctor Policy 'IFRS 16' for further details [not attached]. Proctor does not enter any low value/short term lease agreements.

Included Costs

- Purchase price (net of discounts and rebates).
- Directly attributable costs to bring the asset to its intended location and condition (e.g. delivery, installation, professional fees).

Excluded Costs

- Administration and general overheads.
- Costs incurred after the asset is ready for use (e.g. training staff, marketing).
- VAT (all Proctor assets are assumed to be recoverable for VAT purposes)

B Subsequent Measurement

Assets are measured using the cost model – cost less accumulated depreciation and impairment losses.

C Depreciation

Depreciation is charged systematically over the asset's useful life:

- Begins when the asset is available for use.
- Ends when the asset is derecognised or classified as held for sale.
- Method and useful life are reviewed annually.
- All Proctor's depreciable assets are depreciated on a 'straight line' basis. The useful lives are:
- Buildings: 25 years
- Production machinery and equipment: 10 years
- Vehicles: 5 years

Depreciation is charged monthly. Depreciation is charged in the month of acquisition but not in the month of disposal.

D Impairment

Assets are tested for impairment when indicators suggest the carrying amount may not be recoverable:

- Recoverable amount is the higher of fair value less costs to sell and value in use.
- Impairment losses are recognised in profit or loss.

APPENDIX 2 (Question 4) (continued)

E Disposals

An asset is derecognised on disposal or when no future economic benefits are expected:

- Gain or loss on disposal = proceeds – carrying amount.
- Recognised in profit or loss.

2. Email from Proctor estates manager

From: estates@proctorbrews.co.uk
To: finance@proctorbrews.co.uk
Date: 31/05/X9
Subject: Washout

Hi everyone! Thought I should give you an update on the river flood that affected our premises last night.

Work is ongoing to remove silt and debris from the yard. There was also flooding and contamination of Warehouse A. We are also concerned that its south wall, overlooking the river, may have been undermined by riverbank erosion. All a bit of a mess while we assess the damage and try to work out how long it's going to affect normal operations. You'll want to get in touch with the warehouse team to get an estimate of inventory write–offs and the costs of temporary off–site storage.

All the best

Alice

3. Email from Proctor Fleet Manager

From: fleetmanagement@proctorbrews.co.uk
To: finance@proctorbrews.co.uk
Date: 29 April X9
Subject: Disposal of lorries

Hi team, hope you are all well. Just to let you know we have disposed of two lorries, #12 and #14. These were acquired for £72k each back in May X6. As the company has grown the fleet has been worked much harder than anticipated. They were getting increasingly expensive to keep on the road, so it was time to let them go. We got £20,000 in total from our usual trade dealer.

Hope that's enough information for you to process things – let me know if you need more.

Jack

APPENDIX 2 (Question 4) (continued)

4. Invoice

Invoice

Proctor Brews Ltd
Yorkshire
England

Invoice number: 1010
Date: 01/06/X9

	Value (£)	VAT
For supply and delivery today of 2 units, 'Atlas' light van	*40,000*	*8,000*
TOTAL		***48,000***

Hirsch Vehicle Supplies ltd
Yorkshire, England

5. Invoice

Invoice

Proctor Brews Ltd
Yorkshire
England

Invoice number: 21177
Date: 23/06/X9
For supply, installation, and testing of 'Trustybelt V' conveyor belt, Proctor Bottling Plant 1. Installation and testing to be completed, week commencing 7/7/X9.

	Value (£)	VAT
	96,000	*19,200*
TOTAL		***115,200***

As agreed, payment in full is required in advance of works commencing on site.

B.L. Systèmes de Gaz SARL
Dieppe, FranceP

PAID

APPENDIX 2 (Question 4) (continued)

6. Invoice

Invoice

Proctor Brews Ltd
Yorkshire
England

Invoice number: 1614
Date: 30/06/X9

	Value (€)	VAT
For supply, installation, and testing of 'Geant Gazeuse 3' gas injector system in Bottling Plant 2.	*43,000*	*8,600*
TOTAL		***51,600***

Work completed at today's date.

B.L. Systèmes de Gaz SARL
Dieppe, France

7. GBP:EUR exchange rate (notes)

The following exchange rate was obtained and agreed reasonable based on an independent third–party source:

GBP:EUR, 30/6/X9 = 1.190

8. Analysis of Miscellaneous Expenses

Extract of amounts applied to 'miscellaneous expenses' general ledger code, over £2,000, in month ending 30/6/X9:

Date	Value	Narrative
02/06/X9	£3,500.00	Auditor's fees – interim audit visit in May
11/06/X9	£4,750.00	Solicitors – advice to directors re takeover bid
17/06/X9	£2,300.00	Brewery storage tanks – monthly leasing charge
28/06/X9	£2,000.00	External caterers – staff summer party

Question 5 (47 marks)

You are the audit manager on the external audit of the financial statements of Icarus Failsafe Systems Ltd ('Icarus'). Icarus prepares its financial statements under International Financial Reporting Standards.

Icarus is involved in the 'green' energy sector. It operates out of three geographically diverse factories, based in Glasgow, Inverness and Gloucester. Over the last four years the company has grown substantially, mainly from manufacturing, supplying and installing solar panels for domestic properties. You are planning the audit for the year ending 31 December 20X7, and considering the approach to property, plant and equipment ('PPE').

You have held a preliminary meeting with Ally McIntyre ('Ally'), Icarus's finance director. At your meeting, Ally explained that the company continues to invest in equipment in all its factories. During 20X7, the company has started to purchase new digital equipment, which is being acquired, for the first time, through leases and these will be phased in over the next three years, rather than being completely replaced in the current year.

To complete the audit planning memorandum, you need to draft paragraphs analysing and explaining the audit risks in relation to PPE. Ally has provided you with extracts from the management accounts, for the period ended 30 June 20X7 relating to PPE, and some additional comments (Appendix 1).

In January 20X7 the company implemented a new purchasing system for PPE. From the audit of prior years, you are aware that control systems within Icarus are generally satisfactory, and you rely extensively on the controls in your audit work. From your discussions with Ally and your review of the system notes provided (Appendix 2), you are happy that the new system is well–designed, and you are, therefore, going to design the tests of control that your firm will perform for PPE.

On the assumption that the results of these tests will be satisfactory you are also going to design specific substantive audit procedures for inclusion in a PPE substantive testing programme to respond to the audit risks identified during your work on the audit planning memorandum.

Required:

1. Evaluate the audit risks in relation to PPE.

(13 marks)

2. Design the tests of control that your firm would perform on the new purchasing system for PPE.

(23 marks)

3. Design procedures for inclusion in a substantive testing audit work programme for PPE, to address each audit risk relating to PPE identified above.

(11 marks)

(47 Marks)

APPENDIX 1 (QUESTION 5) – Extract from management accounts

Property, plant and equipment

	Land & Buildings	Plant & Equipment	Motor Vehicles	Total
	£'000	£'000	£'000	£'000
Cost or valuation				
As at 1 January 20X7	1,765	2,850	780	5,395
Revaluation surplus	500	–	–	500
Additions	–	750	250	1,000
Disposals	–	(400)	(200)	(600)
As at 30 June 20X7	2,265	3,200	830	6,295
Accumulated depreciation				
As at 1 January 20X7	445	2,000	330	2,775
Depreciation charge	15	150	100	265
Depreciation on disposals	–	(300)	(150)	(450)
As at 30 June 20X7	460	1,850	280	2,590
Net book value				
As at 30 June 20X7	1,805	1,350	550	3,705
As at 31 December 20X6	1,320	850	450	2,620

For the first time, Icarus has leased digital plant and machinery and office equipment. The assets subject to lease have all been capitalised. The total capital amount outstanding at 30 June 20X7 is £245,000.

Additions to motor vehicles, in January 20X7, included a Porsche car which belonged to the partner of Icarus's chief executive. It is deemed to be worth at least £50,000, however they have not yet been paid for the vehicle.

Old digital plant and equipment was disposed of as scrap for £20,000. It was previously anticipated that these assets had a remaining useful life of four years.

Depreciation is provided to write off the cost of assets over their useful lives on a straight–line basis. The annual rates used are:

	%
Land	Nil
Buildings	2
Plant & Machinery	25
Fixtures & Fittings	10
Motor vehicles	25
Leased plant	Over period of lease

On 31 March 20X7, the board obtained an independent valuation of its factories in Glasgow, Inverness and Gloucester.

The independent valuation provided a valuation of £1,130,000 for the factories in Glasgow andInverness. As at 31 March 20X7 the two factories had a net book value of £630,000. The valuation of the Gloucester factory showed no change in value – this is in line with market expectation ofproperty prices in the area.

APPENDIX 2 (QUESTION 5) – Notes on new purchasing system supplied by Ally McIntyre

Requisitioning

As part of the annual budget process, all departments ('source departments') are requested to submit capital expenditure plans, approved by the relevant head of department. These plans are examined by the board and items approved or refused as the board decides. All items costing

£10,000 or more are required to be individually approved by the board. For items costing less than this, each source department is given an overall allocation and it is the responsibility of the source department head to stay within the budget.

The minutes of board meetings show the capital expenditure items approved, and from these the accounts department prepares an electronic schedule of approved items ('the schedule') which is checked by Ally McIntyre. The schedule is held on a password protected spreadsheet, within the accounts department, under the control of James Summerville, accounts manager.

During the year, there may be unbudgeted capital expenditure. In this situation the source department head prepares a case for the expenditure, which is presented to the board for approval. The schedule is amended to reflect these changes on a monthly basis. A printout of amendments is retained by the accounts department. Ally checks these have been implemented and signs them to evidence this check.

When capital expenditure has been approved, Ally decides how the expenditure is to be funded – by outright purchase or lease depending on the immediate impact on cashflow. In the case of major expenditure, specific loan funding may be required. He advises James of the decision, and the funding method is entered in the schedule.

Ordering

The head of the source department sends a requisition to James, who compares it with the schedule of approved items. If these agree, one of his two clerks raises a pre–numbered three– part order. The first two copies are sent to the supplier and the source department respectively and the third copy is signed, as authorised, by James and filed by the accounts department in the approved items file.

Each month, James sends the board a report of all orders placed. Purchases greater than £10,000 are individually identified and those under that amount are grouped together for each source department. This report is examined by the board, compared with the schedule of approved items, and minuted.

Purchase order numbers and the purchase price are entered in the schedule of approved items file, which also identifies any differences between the amounts approved by the board and the actual purchase price. These differences are investigated by Ally and form part of the monthly board discussions.

Receipt of asset

Assets are delivered to the source department, compared with the order and checked for condition, specification etc. The order is then matched with the supplier's delivery note, which is retained by the source department head until the invoice is received.

APPENDIX 2 (QUESTION 5) (Continued)

Approval and processing of invoices

Purchase invoices are received by the accounts department, recorded in a computerised invoice register, numbered and sent to the source department head for approval. The invoice numbers are noted in the invoice register and any invoices not returned from the source department within two weeks are chased up by the accounts department. The department head compares the invoice with the order, signs the invoice and returns it with the delivery note to the accounts department. Invoices are then given nominal and purchase ledger codes by the accounts department.

Germaine Green, the financial accountant, checks codes on the numbered invoices, agrees them with delivery notes and purchase orders and signs the invoices for processing.

Purchase invoices are processed on a daily basis in numerical order. The integrated computerised system updates the nominal and purchase ledgers and produces a journal which is used to manually update the fixed asset register ('FAR'). There should be no differences between the FAR and the nominal ledger, but the system produces a monthly exception report confirming agreement or identifying any differences. These reports are approved by James and retained in the accounts department.

If the asset is acquired by lease, Germaine takes responsibility for arranging the contract documents. Details of the contracts and payment information are given to James for matching with orders and delivery notes in the normal way. All lease contracts are approved by Ally.

Question 6 (50 marks)

You are a consultant specialising in e–commerce and IT controls and have been engaged by a recently established firm of insurance brokers called E–Brokersinsurance4U Ltd ('E–Brokers'). The directors have asked you to evaluate their web–based sales system and the general IT control environment to identify weaknesses within each. They would like you to explain the impact of each weakness on the business and to recommend relevant controls to mitigate the impact of each of these weaknesses.

E–Brokers is an online and telephone–based insurance brokerage, based in Manchester, specialising in car, home and pet insurance. The company acts as an intermediary for four large insurance companies and deals with them exclusively. The company was established six months ago and its owner and managing director is Jack MacKay, a former employee of a large nationwide insurance company.

Jack's vision for E–Brokers is for it to be a completely paperless environment with all information stored and processed electronically. This includes information obtained from customers via telephone enquiries and quotations from insurance companies.

Due to the nature of E–Brokers' business it is regulated by the Financial Conduct Authority ('FCA'). Procedures were set up prior to the start of operations to satisfy the FCA authorisation process and these are the ones that have been adhered to since the business started trading. Jack needs to ensure that the appropriate regulatory requirements continue being adhered to, particularly in relation to the retention of customer data as a lack of controls and correct documentation in this area could result in large fines from the FCA. E–Brokers currently employs 16 members of staff including Steven Smith, the company's IT Manager. You met recently with Steven to discuss the general IT control environment and the sales system of the company. Notes from your meeting are included in the Appendix.

Required:

1. Identify the weaknesses in the general IT control environment, explain the implications of each weakness and recommend improvements.

(20 marks)

2. Identify the weaknesses in the sales system, explain the implications of each weakness and recommend improvements.

(30 marks)

(50 marks)

APPENDIX (QUESTION 6) – Notes from meeting with Steven Smith, E–Brokers IT Manager

IT department and systems

The IT department currently consists of Steven and two other employees. Steven has a list of the procedures that are required for the FCA regulations, and these are incorporated in E–Brokers IT strategy.

E–Brokers' IT system is a fully integrated bespoke package designed by external software developers. It is built around a Customer Relationship Management system as the main business of E–Brokers is to sell insurance policies. It is integrated with the company's financial system and links to the telephone system allowing all calls to and from customers to be logged. Since implementation of the bespoke package, when the company started trading six months ago, the software developers have not worked on site. Limited systems documentation was left for Steven and system support is available via a telephone helpline.

Interfaces

There is an interface in place with the bank which allows customer debit and credit card details to be checked. In addition to this interface there are also direct interfaces in place with the four insurance companies for whom E–Brokers acts as an intermediary. During the year several customer files were corrupted by a virus. E–Brokers believes that this could only have come from one of the interfaces, as the security processes at the interface had not been reviewed or upgraded for one year.

When customers log their details on the E–Brokers website, the information is fed to the four partner insurance companies who offer quotes to E–Brokers. These quotes are passed on to customers at a marked up price. Information therefore flows from E–Brokers to the insurance companies and also flows back from the insurance companies to E–Brokers and then onwards to the customer. This is a fully automated process which takes a matter of seconds.

System Reliability

There have been several periods of downtime since the system went live six months ago. Steven is unsure what the root cause of the downtime is. During periods of downtime, customers cannot access the internet site and brokers cannot record any customer information received during telephone calls. In addition, they cannot obtain quotes from insurance companies or buy policies. Staff are frustrated by these periods of system downtime.

Backups

The system is backed up on a daily basis with files stored on password protected cloud drive. However, due to storage space restrictions, the backup has not been performed in 2 months.

Disaster Recovery

Steven noted that he had drafted an IT risk assessment, but it had not yet been reviewed by Jack, although it was on his to–do list to be reviewed by the end of the year. Based on the first six months trading, system downtime is the highest–level risk.

A disaster recovery plan is in place, which has recently been tested successfully and communicated to staff.

APPENDIX (QUESTION 6) (Continued)

Sales System

Sales website

There is a website element to the system where customers can buy and manage their policies online. New customers that register with E–Brokers are given a unique username by the system designed by using a combination of their surname and date of birth. Each customer is then asked to create their own alphanumerical password to access their file. Website customers have the option to contact the company by telephone.

Customers are not prompted to change their passwords after initial set up. E–Brokers does not keep a record of multiple attempts to access customers' accounts. During the year a customer queried changes that had been made to their account without their knowledge and following investigations the company determined that a third party had accessed this account. No other instances have been notified by customers.

Obtaining a quote for insurance

Once customers have logged into the system, they are able to select the type of insurance they want to purchase: car, pet or home insurance. They complete the online questionnaire and on completion are given a quote or are recommended to telephone the company if their request is unusual.

Sales

If the customer proceeds to buy the policy, they must tick a box to confirm they agree to the terms and conditions. Customers cannot purchase a policy without a valid e–mail address as all documentation, including policy documents, is e–mailed to them in a secure un–editable format, similar to a PDF format, in order to maintain a paperless environment and manage costs.

Any documents that require a customer's signature are issued with instructions to print off, sign and return to the company by post, or be accepted with an electronic signature.

An automatic e–mail is sent to customers who have not returned signed documents within 10 days of issue asking for the documents to be returned as soon as possible. After 15 days the customer details are included in an exception report automatically produced daily which highlights outstanding documents requiring a signature. E–Broker's insurance executives telephone these customers to prompt the return of the documents. Paper signed documents returned from customers are scanned immediately upon receipt and saved to the customer's electronic file by whoever opens the mail.

The original documents are shredded and not reviewed by the insurance staff. This sometimes causes problems when there are claims on an insurance policy and the scanned originals cannot be located.

Payment of premiums

Customers purchasing policies via the website have two options for making payments. They can either pay by debit or credit card, or pay by direct debit over 12 months. They must enter card details which are verified through a link to the "Verified by Visa" system and other equivalent systems, or, for direct debits, enter bank account details. The system will not allow the purchase to be finalised until either of these sections is completed and the details verified. This is carried out through the bank interface for the verification to be completed. Revenue is recognised for accounting purposes as soon as the policy purchase is finalised.

APPENDIX (QUESTION 6) (Continued)

Telephone

New telephone customers register with E–Brokers providing their full name, postal address, including post code, contact telephone number and valid e–mail address. Following set up of the customer account, the company's brokers access customer files on the computer using the customer's full name given by the customer over the phone. They recognise the customer on the phone from the personal relationship they develop.

Payment for policies can be made by providing debit or credit card details to a broker by telephone and these are logged directly into the system by the broker and stored in the customer's electronic file. The company only accepts payment by this method and does not accept payment by cheque.

Commission

There are three brokers, one responsible for each type of insurance sold by E–Brokers, car, pet or home. Each broker receives a commission payment for all policies sold in the category they are responsible for.

The system automatically calculates the commission earned by each broker based on policies purchased from the partner insurance companies and sold on to customers. This commission is automatically posted into the accounting system once calculated without being reviewed. Brokers are automatically paid commission on a monthly basis for all policies sold in the calendar month prior to the commission payment being made.

Revenue is also calculated automatically and posted to the accounting system based on the insurance policies sold during the month

Question 7 (26 marks)

You are the audit senior working at Donald and Mickey LLP, a medium–sized audit firm. You are currently working on the audit of Macivie Construction Group Plc. The audit manager has asked for your assistance in designing substantive procedures for two of the group subsidiaries Lochmabie Building Ltd ('Lochmabie') and Barlow Ltd ('Barlow'). Both subsidiaries have a year end of 31 July 20X6.

Lochmabie is a property construction company specialising in the development of commercial buildings for business and social use.

You audit fieldwork for Lochmabie is almost complete and your audit manager has given you a list of matters arising from the audit that may require provision within the financial statements or disclosure as contingent liabilities (Appendix 1). You have been asked to design substantive procedures to allow the audit senior to gather sufficient evidence for you to make this assessment.

Barlow is primarily a property management company, but due to the poor performance of the property market in the last few years, the company started investing surplus cash in an equity investment portfolio. You are about to complete the substantive audit testing over the company's investments and need to finalise the audit procedures to be conducted. Background information on Barlow's investment portfolio has been obtained from the subsidiary's financial controller (Appendix 2). Your audit manager has asked you to design audit procedures to test the investments balance held by Barlow. Please note that the firm's audit software automatically generates standard tests, so these do not need to be included.

Required:

1. Design a list of substantive procedures to allow the audit senior to gather sufficient evidence on the matters arising, to allow you to assess the need for any required provision or contingent liability disclosures within the financial statements.

(15 marks)

2. Design a list of substantive audit procedures to test the investments balance held by Barlow as at 31 July 20X6

(**11 marks)**

(26 marks)

APPENDIX 1 (QUESTION 7) – Matters arising from audit of Lochmabie

The matters arising are:

1. An employee of Lochmabie was involved in a work–related accident during the construction of a new health centre. The accident is currently under investigation and it is the subject of ongoing legal action, as the employee is suing the company for negligence based on a claim of being provided with faulty safety equipment.
2. Lochmabie is currently subject to an environmental investigation from a local regulatory body concerning damage to protected plant life during building works from January to April 20X6. Lochmabie has highlighted that it is aware of the plant life in question but has obtained assurance that no damage took place during building activities.
3. Included within the draft financial statements is a warranty provision intended to cover the cost of claims made on building work performed in a previous two–year period. The provision is currently stated at £50,000 which is well in excess of claims in previous years (20X5: £36,000, 20X4: £41,000 and 20X3: £27,000). In the year to 31 July 20X6, warranty claims made were £89,000.
4. Lochmabie built a small development of eight houses in Fort William, Scotland, during the year and ran a promotion whereby if any of the owners wished to carry out further building work over a value of £10,000, they would receive cash–back of 2% of the purchase price, if they appointed Lochmabie to complete the work. The houses cost £300,000 each and the revenue was recognised in full when the properties legally transferred to the new owners. The promotion applied only to this development of eight houses.

APPENDIX 2 (QUESTION 7) – Information on Barlow investment portfolio provided by Barlow financial controller

Barlow has entered into multiple transactions in relation to its investment during the year. All investments are in listed shares.

Barlow classifies investments at fair value ('FV') with any adjustments processed as required following review.

You have obtained the following information from the company's financial controller, detailing the movements in Barlow's investment portfolio.

Investments:

	Investments
	£000
Opening balance at 1 August 20X5	25
Additions	120
Disposals	–
FV adjustment	10
Closing balance at 31 July 20X6	155

QUESTION 8 (48 marks)

You are the audit manager on the audit of the financial statements of Airline Braking Systems Ltd ('Braking') for the year ended 31 March 20X1. Following completion of the year–end audit fieldwork, you are meeting Zeeshan Bashir, Braking's financial controller, to discuss outstanding matters from the audit and any subsequent events.

Braking's business is repairing aircraft wheels and brakes. Each time an aircraft lands it causes wear and tear to the wheels and brakes which Braking will repair. The company generates the majority of its revenue through one–off repairs and an aircraft fleet repair contract paid on a regular basis throughout the year. Braking is a subsidiary company within a large group that operates from a number of sites throughout the UK.

You have a number of matters to discuss with Zeeshan, the first of which is a list of outstanding points noted by the audit team which your audit senior has provided (Appendix 1). These points will require to be cleared before the audit can be finalised and the audit opinion issued. Your audit partner, Stuart Miller, has asked you to evaluate each of the outstanding points and recommend what further audit procedures, if any, will need to be performed to address these points.

The remaining items on the agenda for discussion with Zeeshan are the list of subsequent events he has identified which have occurred since the year end which he believes may have an impact on the audit opinion. This morning, Stuart reviewed the list and has annotated his comments at the bottom of each point (Appendix 2).

Stuart has asked you to evaluate each of the subsequent events considering what, if any, additional audit procedures would be required. He has also requested that, for each individual event, you analyse the impact, if any, on the audit opinion in the event that the further audit procedures do not resolve the issue satisfactorily. He also wishes you to recommend the appropriate type of audit report to be issued should this be the case. Stuart has advised you that the appropriate materiality threshold for all of the issues under consideration is £125,000.

Required:

1. Evaluate each of the outstanding points from the audit, analysing why each is an issue and recommend what further audit procedures, if any, will be required.

(22 marks)

2. For each of the subsequent events identified by Zeeshan:

   a) evaluate each event, concluding whether each would be an adjusting or non–adjusting event

(6 marks)

   b) consider what, if any, additional audit procedures would be required

(8 marks)

   c) analyse the impact on the audit report and opinion, in the event that the further audit procedures do not resolve the issue satisfactorily.

(12 marks)

(48 marks)

APPENDIX 1 (QUESTION 8) – Outstanding points from audit

These are the outstanding points from the audit of Braking.

Bank and Cash

- The bank confirmation letter received during the audit did not include a balance for Braking's high interest investment account. The balance per the financial statements for this account was £250,000.

Trade receivables

- A receivable due from Scotlandfly Ltd at the year end remained outstanding at the end of the audit fieldwork visit. The cash had been promised and the outstanding balance was, therefore, not provided for in the allowance for doubtful debt. The debt accounts for 23% of all outstanding trade receivables of £1,647,880 at 31 March 20X1.

Other matters

- The previous operations director left the company at the beginning of the year and was not replaced, with the finance director taking on a dual role. No confirmation has yet been received regarding the resignation of the director, and no disclosure has currently been made in the financial statements regarding the resignation or termination payments.

APPENDIX 2 (QUESTION 8) – List of Subsequent Events provided by Zeeshan Bashir

1. Liverpool building – Impairment

Subsequent Event

Braking owns a building in Liverpool which is rented out and classified as an investment property. In September 20X0 the company obtained a third–party valuation for the land and buildings of £475,000 and is carrying the land and buildings at this value at 31 March 20X1. On 1 June 20X1, Braking received an offer of £175,000 from a building contractor looking to convert the property into a block of flats. This was considerably lower than the most recent valuation due to new planning restrictions imposed by the local council in March 20X1.

The sale has been approved by the board per the board minutes, but is not expected to occur until mid–October 20X1.

Client Comment

As the offer to buy the land and buildings was made in the current financial year, I don't believe the impairment in the value of the land and buildings should be reflected at this stage as the sale has not been finalised. The property accounts for 9% of the overall net book value of property plant and equipment held by the company.

Audit Partner's Comment

An impairment should be recognised as the regulations changed before the year end and therefore are relevant to the valuation at 31 March 20X1.

2. Outcome of legal case – contingent gain

Subsequent Event

Braking shares a rented hangar at Manchester Airport where it carries out repairs for one of its largest customers, Alba Airways Ltd ('Airways'). The hangar is shared with a local airline, Fly– cheaply Limited ('Flycheaply'). In December 20X0 a large fire broke out in one of Fly–cheaply's planes awaiting service in the hangar. This caused significant damage to the interior of the hangar which had to be closed for repair for two months. Braking subsequently sued Fly–cheaply for loss of income due to its inability to provide repair services to Airways during this period.

The lost income Braking has claimed for is approximately £450,000. Fly–cheaply has contested the fact that they are liable to Braking as an investigation by the fire authorities found that the fire had been started deliberately by vandals. Braking believes, based on the advice of its legal advisors, that this should not have any bearing on their claim and the compensation should be recognised in the financial statements to 31 March 20X1.

The court case is going to be finalised on 11 October 20X1 (after the accounts are due to be approved by the board) and we will know, for sure, if the revenue will be paid to Braking.

Client Comment

Our lawyers are advising us that we are very likely to win the case and the amount will be receivable from Fly–cheaply. We, therefore, want to adjust the financial statements to 31 March 20X1 to reflect the compensation that will be paid relating to that year.

Audit Partner's Comment

The requirement under IAS 37 *Provisions, Contingent Liabilities and Contingent Assets* is that contingent assets should not be recognised, but if probable should be disclosed in the notes tothe accounts. The realisation of income must be 'virtually certain' and only then should it be recognised as income.

Question 9 (17 marks)

It is January 20X9. You are the audit senior in charge of Turbolite Ltd ('Turbo') for the year ended 30 September 20X8. The audit fieldwork was completed early November and the file has been reviewed and you are at the stage of confirming any events after the reporting period prior to final completion. The final draft of the financial statements is being prepared and you will receive them for review later this week. The financial statements are due to be signed off at a board meeting scheduled for next week.

Turbo manufactures and assembles turbines, built to order as per customer specifications. Turbo is a family–owned company, having been established by two brothers near Coventry, England. The business has grown over the course of the last 15 years via both organic and acquisitional means.

Turbo manufactures turbines to any required scale, from small engines to those required for windfarms, but always manufactures to order with no generic turbines being held in inventory. Turbo has gained some significant contracts over the last few years for the larger turbines and the business continues to grow annually.

You have reviewed the audit file and extracted matters outstanding (Appendix). Your senior manager would like you to consider any potential adjustments arising from the outstanding matters. Therefore, your senior manager would like you to draft a summary of audit misstatements ('SAM') with conclusions justifying which items require adjustment.

Required:

Prepare a SAM, explaining for each of the matters noted in the Appendix what misstatements, ifany, should be recorded and conclude on which items require to be corrected in order to allow an unmodified audit opinion.

(17 marks)

APPENDIX (Question 9) – Matters outstanding from audit fieldwork

The draft financial statements for the year ended 30 September 20X8 show revenue of £22.1 million and total assets of £1.4 million. Materiality has been set at £120,000.

1. On 6 October 20X8, the company received an invoice for plant and equipment costing £3.5 million with an estimated useful life of five years which was installed and brought into use on 1 September 20X8. The invoice was dated 5 October 20X8 and had been posted to the ledger accounts as an October 20X8 transaction and is not included in the financial statements for the year ended 30 September 20X8. Turbine's depreciation policy is to charge no depreciation in the year of purchase and a full year in the year of disposal. No accounting entries have currently been made for this.

2. On 12 November 20X8, a batch of turbines which had been rejected by a customer were sold to another customer, unamended, for £450,000. The turbines are currently included in finished goods in the financial statements for the year ended 30 September 20X8 at a cost of £500,000. Management does not believe that an adjustment is required, as the rejection took place after year end.

3. On 25 November 20X8, the company was advised by a tax specialist that because of the complexity of the issues involved in the HMRC enquiry into the company's tax affairs, which was launched in September 20X8, it is not possible to forecast the outcome of that enquiry. However, the specialist has advised on the possible range of outcomes in respect of the additional tax liabilities ranges between a £10,000 and a £300,000 liability. There is currently no reference to this matter in the draft financial statements. Turbo would be able to meet the cash liability of any outcome, due to sufficient cash reserves.

4. On 9 November 20X8, Turbo received notice that one of their customers, Drivetrain Ltd, had gone into liquidation. As at 30 September 20X8, there was a balance on the trade receivables ledger showing £145,000 owed from Drivetrain Ltd. No payments were received after the year end, and the amount owed was overdue as at the year end. Management have updated the financial statements to reflect this liquidation. Drivetrain only comprises approximately 3% of annual turnover, so there is no potential going concern impact for Turbo as a result of these events.

Question 10 (45 marks)

You are the audit senior of client, Sailing Limited ('Sailing'). Sailing is a manufacturer that sells outdoor clothing and equipment, specialising in fishing, sailing and other water sports, to a number of online retailers. The year–end of Sailing is 31 May 20X2.

You are working on the trade receivables section of the audit and have already sent out the trade receivables circularisation as at 30 April 20X2 as part of the audit work. You had already documented the results of several confirmation responses received (Appendix 1) but have since received several more responses (Appendix 2).

As part of the audit programme for trade receivables testing, you are still required to complete the documentation of the new responses received. Once documented, you are required to design procedures over any balances not yet agreed as well as any further procedures required to complete the trade payables circularisation testing.

Required:

1. Complete the trade receivable circularisation workpaper for the new responses included in Appendix 2, documenting the reasons for any differences identified;

(10 marks)

2. Design procedures over those balances not yet agreed, based on the information provided in Appendix 1 and any findings from Requirement 1; and

(30 marks)

3. Design any other relevant substantive procedures required to complete the trade receivable circularisation.

(5 marks)

(45 marks)

APPENDIX 1 (QUESTION 10) – Trade receivables circularisation audit workpaper

Customer	Balance per trade receivables ledger	Balance per trade receivables circularisation	Reason for difference
	£	£	
Airstream Limited	136,402.78		
Boom Limited	245,891.45	245,891.45	Agreed balance
Cirus Limited	3,678.00		
Davits Limited	42,378.43		
Flying Fish Limited	20,054.99		
Galley Limited	15,285.46	10,784.19	An invoice for £4,501.27 was received by Galley Limited on 3 May 20X2
Halyard Limited	98,682.88	98,682.88	Agreed balance
IAS Limited	145,895.65		
Jumpstart Limited	25,478.98	36,694.87	Balance confirmed by client as at 14 May 20X2
Keel Limited	26,895.25		Administrator replied – no expected recovery of balance or goods
Lifeline Limited	402,111.89		
M Limited	15,117.81	15,117.81	Agreed balance

APPENDIX 2 (QUESTION 10) – Additional trade receivable circularisation responses received

Dear Auditor,

We confirm that according to our records a balance of £136,402.78 was owed by us to Sailing Ltd at 30 April 20X2.

Name of company: Airstream Ltd

Items making up difference: n/a

Further explanation if applicable:

Signed: W.Gale

Position: Finance Assistant

Dear Auditor,

We confirm that according to our records a balance of $4,839.47 was owed by us to Sailing Ltd at 30 April 20X2.

Name of company: Cirus Ltd

Items making up difference: n/a

Further explanation if applicable:

Signed: E. Storm

Position: Payables and Receivables clerk

Dear Auditor,

We confirm that according to our records a balance of £20,054.99 was owed by us to Sailing Ltd at 30 April 20X2.

Name of company: Flying Fish Ltd

Items making up difference: n/a

Further explanation if applicable: Whilst the balance is agreed, per previous correspondence with Sailing Ltd, we will not settle the full amount until a credit note is received for faulty goods worth £5,432.92

Signed: H. Grill

Position: Finance clerk

APPENDIX 2 (QUESTION 10) (Continued)

Dear Auditor,

We confirm that according to our records a balance of £132,455.65 was owed by us to Sailing Ltd at 30 April 20X2.

Name of company: IAS Ltd

Items making up difference: £13,440 of goods returned to Sailing Limited on 29th April 20X2

Further explanation if applicable: Goods returned on 29th April were goods received in error and not ordered by us. They were in good condition on their return.

Signed: R. Position

Position: Financial Controller

Dear Auditor,

We confirm that according to our records a balance of £235,945.00 was owed by usto Sailing Ltd at 30 April 20X2.

Name of company: Lifeline Ltd

Items making up difference: bank transfer made to Sailing Limited of £166,166.89 on30 April 20X2 re Invoice LL478

Further explanation if

applicable:Signed: L Belt

Position: Financial Assistant

QUESTION 11 (44 marks)

It is August 20X1 and you are an assurance practitioner in McFly Assurance ('McFly'), a Scottish based accountancy and audit firm. McFly's external audit and other assurance teams work independently of each other. Nibbles Snacks Limited ('Nibbles'), a current audit client, has approached the firm regarding a potential additional assurance assignment.

Nibbles is a food production company operating from a large factory site on the west coast of Scotland. It prides itself in the use of local sustainable produce, and its low impact production facility which aids in maintaining sustainability in the local countryside. This is their main differentiator from other companies in the same industry and a key contributor to the significant market share that they enjoy.

As a food production company Nibbles must operate under the terms of an environmental licence issued by the Scottish Environmental Protection Agency (SEPA). This licence is termed a PPC licence and is issued under the PPC regime governed by the Pollution Prevention and Control (Scotland) Regulations 2012.

PPC licences are designed to control activities that could lead to pollution or environmental damage. SEPA performs compliance activities to check whether licence holders are meeting the terms of their licences. This Compliance Assessment Scheme (CAS) enables SEPA to assess and categorise the compliance of the licence holder.

In early 20X0 Nibbles had a succession of pollution incidents, which combined with poor site management contributed to SEPA issuing a 'Very Poor' CAS score in its annual assessment in June 20X1. These pollution incidents were included in complaints to SEPA from local residents regarding liquid pollutant discharges to a local river killing wild salmon stocks.

Nibbles worked with SEPA and an action plan with clear requirements was proposed. This included the preparation and delivery of a site improvement plan, including documentation of increased and appropriate staff training, and proactive monitoring of all liquid discharges to ensure they are within the required limits as set by SEPA. Nibbles is required to submit a report to SEPA demonstrating its current compliance with the agreed action plan. This report will provide a point of reference for SEPA in its next Compliance Assessment in November 20X1.

The small internal audit team at Nibbles has been key in the documentation and implementation of the SEPA action plan and the Head of Internal Audit is due to commence extended paternity leave in two weeks.

In your capacity as an assurance practitioner, Nibbles' board of directors ('the board') has asked you to review the corrective action plan and improvement to controls that Nibbles has put in place, and to give assurance that these are functioning correctly and achieving the required outcome. Nibbles has also been approached by a local TV station to participate in a documentary into the pollution in the local river and management intends to highlight the action plan and the assurance obtained from McFly to help assure the public that it is undertaking appropriate actions to address the failings.

McFly has previously undertaken an additional assurance engagement for Nibbles relating to an application for a Scottish Government Capital Grant in addition to the annual external audit. As a result, it was clear that not all of Nibble's directors were aware of the company's business targets and the commerciality of its underlying activities. Furthermore, it was clear that the board was not always in agreement on their long–term business goals and the need to remedy deficiencies incontrols. For example, there were various objections to recommendations regarding improvements in control activities within the audit team's management letter.

Following a review of all the information provided, you have confirmed that this work fulfils the necessary elements to be classed as an assurance engagement, but have still to evaluate which type of assurance engagement would be suitable and the relevant risks associated with accepting this engagement. The board has agreed a flexible amount in its annual budget as a fee for this engagement, dependent on the work required.

You have also identified that due to a lack of expertise in your firm regarding assessment of pollution levels, it will be necessary to engage an external expert to ensure the actual levels are as reported to SEPA. The engagement team will place reliance on the work of the expert and the assurance report will be sent to SEPA to provide assurance of Nibbles compliance.

Following a recommendation from one of your colleagues you have approached a Scottish based consultant, McStag Environmental Services LLP ('McStag'), which should be able to provide the expertise required for this engagement. McStag is based in Inverness, but operates worldwide and has a wide range of inhouse environmental consultancy services, each employing specialists in their own field. McStag's employees have a wide diversity of degrees and experience and are affiliated to their own specialised professional institutes.

One of McStag's partners, Dr Joe Trout, is being proposed to undertake the work on behalf of McStag. He has a degree in Marine Science and 10 years post–doctorate expertise. Following a brief telephone chat, he is keen to undertake the assignment as he is familiar with Nibbles and would be happy to stay with his aunt and his cousin who live nearby and work at Nibble's production facility. The technical language used to explain his roles and responsibilities within McStag and relevance to the engagement was outside your comfort zone and your team have been unable to help in interpreting this.

An evaluation of McStag is required to be completed in order to confirm whether reliance can be placed on the organisation for the purposes of the assurance engagement.

Required:

1. Explain, with examples of relevant opinions, the two types of assurance engagement that could be undertaken for the proposed Nibbles engagement, concluding which would be the most suitable.

(11 marks)

2.
   a) Evaluate the acceptance risks to your firm from accepting this assurance engagement.

(12 marks)

   b) Recommend suitable actions or safeguards to put in place to mitigate the risks identified in 2(a).

(8 marks)

3. Evaluate the proposed external expert to confirm whether it is likely that reliance can be placed on his work and identify any further evidence required in order to form a conclusion.

(13 marks)

(44 marks)

Question 12 (10 marks)

You are the audit manager planning the audit of the group financial statements of SJK Group Ltd ('SJK' or 'the group') for the year ending 31 October 20X3. This is the first year that your firm is auditing the group. SJK is a non–trading holding company that owns 100% of the share capital in its three trading subsidiaries:

- NessDhu Whisky Limited ('NessDhu') – producer of NessDhu whisky
- Soups and Sauces Limited ('Soups') – manufacturer of high–quality soups and sauces
- Lowland Garden Centres Limited ('Lowland') – retailer of plants and associated items from three sites in Northern Ireland

Acceptance procedures for the group have been completed. Ahead of the year end, your audit partner, Amelia Watkins, has asked you to recommend a level for overall group materiality and trivial threshold, using the extracts from the consolidated management accounts in Appendix 1, explaining your reasons.

Required:

Recommend a level for overall group materiality and trivial threshold, explaining your reasons.

(10 marks)

APPENDIX 1 (Question 12) – Extract from consolidated management accounts

Extracts from consolidated management accounts

	9 months to 31 July 20X3	Year ended 31 October 20X3	Year ended 31 October 20X2
	Actual	Budget	Actual
	£000	£000	£000
Revenue	25,548	34,832	33,688
Gross profit	10,705	14,978	14,220
Profit before income taxes	4,854	7,315	6,801
Profit after taxation	3,932	5,925	5,482
Total assets	84,354	85,012	70,633
Net assets	75,690	74,895	65,445

Question 13 (48 marks)

You are an audit manager at Clairs Advisory Group LLP ('Clairs') and are working on the external audit of the financial statements of Lovely Drinks Company Ltd ('Lovely Drinks') for the year ended 31 December 20X3. Lovely Drinks has been a client of your firm for several years and this is your first year as audit manager. You are in the process of planning the audit and you are considering the work to be performed around inventory and trade receivables.

Lovely Drinks was founded 35 years ago and manufactures and sells a variety of fruity soft drinks to drinks suppliers and retailers. Two of the largest UK supermarket chains, Birch Retailers plc and Barnbury Food Group plc are its biggest customers. In the previous year to 31 December 20X2 the company's turnover was £10.2m and it is expected that performance in 20X3 will be similar.

The company is based in the town of Kings Lynn, England, with a head office building adjoining two large warehouses. Warehouse one houses the production equipment and raw materials to make the drinks and warehouse two stores finished goods ready for dispatch. The types of inventory held are as follows:

Raw materials ('RM')	• Bulk purchases of liquids and powders used to manufacture drinks. • Packaging bottles and boxes for the drinks.
Finished goods ('FG')	• Drinks ready for sale.

Inventory has been identified as a material balance within the financial statements. As part of the audit planning process, your audit team has been provided with the interim inventory listing, per Lovely Drinks's general ledger, as at 30 September 20X3, which has been analysed using your firm's audit data analytics software (Appendix 1). The results of the analysis include information on the usage of raw materials during the production process as well as sales data related to the finished goods.

You have also received some commentary from Lovely Drinks's finance manager, Tanya Lorenz, (Appendix 2) concerning inventory production and performance during the nine–month period to 30 September 20X3.

Your audit partner, Penny Rowe, has asked you to evaluate the results of the audit data analytics exercise over inventory, analysing any identified areas of audit risk. She would also like you to design any relevant substantive procedures required in response to the risks identified.

Penny also highlighted that she wished to undertake a trade receivables circularisation exercise using a sample of receivables balances. She has requested that a sample is selected from balances as at 30 September 20X3 with relevant roll forward procedures performed for the subsequent period from 1 October 20X3 to 31 December 20X3. Penny has provided you with an extract from the trade receivables ledger as at 30 September 20X3 as well as details relating to the customer balances noted during the audit planning meeting with Lovely Drinks's finance director (Appendix 3). Penny would like you select which balances should be sampled for the exercise, analysing your rationale. Your focus should be on balances where there is evidence of risk of misstatement.

Required:

1.

a) Evaluate the results of the audit data analytics exercise over inventory, analysing anyidentified areas of audit risk; and

(17 marks)

b) Design relevant substantive procedures in response to the risks identified in requirement 1(a)

(16 marks)

2. Using the information in Appendix 3, identify which balances from the trade receivables ledger should be selected for the trade receivables circularisation exercise, analysing your rationale. (Note: you do not need to explain your rationale for those balances not selected).

(15 marks)

(48 marks)

APPENDIX 1 (QUESTION 13) – Extract from the report on the data analytic procedures performed over inventory at 30 September 20X3 provided by Clairs audit data analytics team

A - Objectives of audit data analytic ('ADA') routine – planning analytics inventory

The objective of the ADA is to identify any potential material misstatements within inventory.

The following routines have been run as part of the audit data analytic tool:

1) Identify any items where cost exceeds net realisable value ('NRV')
2) Identify any perishable items which are past their expiry date
3) Identify any slow–moving items – this is determined as any finished good where the
4) 'last sale' was before 1 April 20X3
5) Identify any duplicate inventory items
6) Identify any items in breach of first in first out ('FIFO') policy
7) Identify any items which have a short shelf life – this is determined by the raw
8) material 'expiry date' being within one month of the 'last receipt in warehouse'

Any inventory items identified as a result of the above routines are flagged by the relevant routine number.

B - Cleansing of data

Data was extracted from the Lovely Drinks system by the Clairs audit data analytics team using their data extraction tool and it did not require cleansing. The data outputs have been split into raw materials and finished goods to be consistent with the inventory listing.

C - Completeness and integrity check of input data

The data has been checked for accuracy, completeness, validity and reliability by the audit team. This included checking the overall NRV, total number of inventory items and the inventory provision included in the 30 September 20X3 management accounts.

APPENDIX 1 (QUESTION 13) (continued)

D - Results

Raw materials

Flag	ID	Detail	Expiry date	Last receipt in warehouse	Last used during production	Cost	Budget usage full year	Actual usage YTD
2	CH–52	Cherry concentrate	31/12/20X2	10/12/20X0	05/03/20X1	£1,540	10,000 bottles	
4	GP–420	Grape concentrate	05/02/20X4	10/02/20X3	26/06/20X3	£5,635	75,000 bottles	45,000 bottles
4, 5	GP–420o	Organic grape concentrate	30/07/20X4	05/06/20X3	18/09/20X3	£6,480	–	20,000 bottles
6	FA–64	Fresh apple juice	10/10/20X3	20/09/20X3	02/08/20X3	£3,766	750 bottles	760 bottles

Finished goods

Flag	Product name	Last manufacture date	Expiry date	Last sale	Cost	Selling price	Budgeted sales full year	Actual sales YTD
1	Tropical	15/08/20X3	30/01/20X4	30/08/20X3	£2,322	£2,150	20,000 bottles	17,000 bottles
3	Pineapple and lime	04/07/20X3	16/12/20X3	25/03/20X3	£3,510	£5,250	3,000 bottles	2,000 bottles

APPENDIX 2 (QUESTION 13) – Commentary from Lovely Drinks's finance manager, Tanya Lorenz, concerning inventory production and performance during the nine–month period to 30 September 20X3

Production process

Each day a different drink is manufactured by the company. The drink–making equipment uses computerised recipe cards to determine what ingredients to mix at each part of the process and the volumes required. Before the manufacture of a specific drink begins, a production assistant selects the correct recipe card on the computer and puts the various ingredients into the machines. These are reviewed by a production manager before the process begins.

The production team use a first in first out ('FIFO') policy to ensure that the raw materials that

have the earliest expiry date are used first.

The machines are cleaned at the end of the day. As such there is no WIP at the end of the production day.

Other comments

The grape concentrate (ID:GP–420) has been replaced with an organic grape concentrate by the supplier. The product is exactly the same apart from being re–branded organic. In October 20X3 the ID for the organic product was updated to GP–420o and the recipe card was updated to ensure that this item is used for all future production.

Pineapple and lime juice was specifically made for one customer. Following poor sales, the customer has decided to discontinue stocking this product within its stores.

APPENDIX 3 (QUESTION 13) – Trade receivables extract as at 30 September 20X3

Customer	Balance per sales ledger	Overall total sales year to date	Prior year total sales	Aged analysis in days			
				0–30	31–60	61–90	90+
Birch Retailers plc	£6,940	£870,888	£1,138,111	£3,820	£3,120	–	–
Fresh Fruits Deluxe Ltd	£27,543	£163,873	£217,529	£2,875	£13,950	£5,169	£5,549
Martin's Vegan Store	£540	£1,600		£540	–	–	–
Tasty Veg Ltd	£2,012	£12,091	£18,900	£1,659	£353	–	–
Mayburn Farm Shop	(£1,590)	£48,099	£38,748	£1,304	(£2,894)		
Juice Box Ltd	£215	£590	£700	£205	–	–	£10
Barnbury Food Group plc	£75,980	£785,928	£1,298,593	£16,905	£25,012	£23,976	£10,087

Notes from the audit planning meeting with Lovely Drinks's finance director

- Invoices are issued on the same day as the goods despatched note and Lovely Drinks gives all customers credit terms of 60 days to pay from date of invoice.
- Fresh Fruits Deluxe Ltd has been a customer for many years but recently it has been in the news for being in financial difficulty. The finance director highlighted that Lovely drinks's receivables account manager has been in contact with the customer about late payments. However, it is yet to receive a reply.
- Martin's Vegan Store is a new customer in 20X3, located near to the warehouses. The customer has been making frequent small orders and has always settled its account within a week of invoicing.
- As well as purchasing juice from Lovely Drinks, Mayburn Farm Shop also supplies fresh fruit to Lovely Drinks and both the sales and purchases are handled through the one account on the system. When a purchase is made, it offsets this against any sales invoices on the system.
- Barnbury Food Group are currently on a payment plan after the customer struggled to pay its invoices. As a result, the customer has invoices outstanding past the normal credit term. Lovely Drinks's management have agreed they are comfortable with this as Barnbury Food Group has recently secured new investment.

Question 14 (45 marks)

You are the audit manager responsible for the external audit of the financial statements of Pharmalux Limited ('Pharmalux') for the year ending 31 October 20X0. Pharmalux has been anaudit client of your firm, Smith, Allan and Cooper LLP ('SA&C'), a firm of Chartered Accountantsand Registered Auditors, for several years. You are currently planning the audit approach to theaudit of Pharmalux's inventory.

Pharmalux was founded 9 years ago and specialises in researching, developing and selling a range of homeopathic alternatives to conventional medicines. Pharmalux's head office, manufacturing facility and adjoining central warehouse are based in Inverness, Scotland. Thisfacility holds all of the raw materials for the production of the homeopathic medicines ('medicines') and is also home to the research and development centre, which focuses upon thedevelopment and testing of new medicines. Pharmalux also owns a number of finished goodswarehouses and distribution facilities throughout the world, which enable Pharmalux to distribute its medicines to its worldwide customer base.

Inventory has been identified as a material balance within the financial statements. During theprior year audit, the audit team reported a number of weaknesses around the inventory management process in the warehouse in Inverness including controls over the appropriatenessof its inventory provision. As a result, Pharmalux has reviewed its inventory processes across alllocations and made a number of changes during the current financial year. The audit team plansto place reliance on controls within the revised system.

The audit partner, Joanne Dixon, has asked you to identify the key controls within the Pharmaluxinventory system in Inverness which are designed effectively to prevent, detect or correct misstatements within the inventory balance and to evaluate why each control would be classifiedas a key control for the purpose of the external audit. She would also like you to design test ofcontrols to confirm the operating effectiveness of each key control.

The revised inventory system has been documented by a member of your audit team, Peter Daniels, following discussions with the Pharmalux inventory accountant (Appendix). Joanne hasrequested that you do not consider the full annual inventory count performed at year end byPharmalux as part of this evaluation, as it is already planned that your firm will look to attend yearend inventory counts at some of the company's locations. You are also not required to consider thevaluation of inventory and general provisioning, as this will be covered by another team member.

Required:

a)

i. Identify the key controls within the inventory system, at the Inverness site, which aredesigned to effectively prevent, detect and correct misstatements in the inventory balance; and

(8 marks)

ii. (ii) Evaluate why each control would be classified as a key control for the purpose of the external audit

(16 marks)

b) Design test of controls to confirm the operating effectiveness of each identified key control.

(16 marks)

c) Describe how this audit approach may change depending on the results of controls testing.

(5 marks)

(45 marks)

APPENDIX – Notes of Pharmalux inventory system prepared by Peter Daniels, audit senior

Types of inventory held:

Raw materials – Bulk purchases of liquids and powders used to manufacture medicines and carton boxes for the packaging of medicines for sale.

Work in progress ('WIP') – Medicines currently within the manufacturing process. Due to the speed of the manufacturing process, there is never any WIP at the end of the production day.

Finished goods, medicines ready for sale – These are medicines sold directly to pharmacies andhealth food stores or direct to consumers through the Pharmalux website.

General

There are a number of warehouse assistants ('assistants') employed at each location, with a warehouse manager in each warehouse and distribution centre. As with all Pharmalux staff, assistants must sign an annual 'self–declaration of good character' that is maintained on their personnel file by the Human Resources ('HR') department.

Receipt of raw materials

On a daily basis, raw materials are received in the central warehouse, in Inverness, at a single goods–in bay. On receipt, an assistant scans the raw materials via the barcode on the container with a handheld scanner that matches the physical delivery received to the purchase order ('PO') within the Pharmalux enterprise resource planning ('ERP') system. The assistant also manually enters the expiration date of the goods as stated on the container into the ERP system. If there are any discrepancies between the ordered and delivered quantities or the item is scanned more than once, this will be shown by the system as an error and the goods cannot be checked in to inventory until it has been resolved by the warehouse manager. Once the information is complete, a goods received note ('GRN') is created and the ERP system will mark the line on the PO as 'received pending quality control'.

The raw materials are physically moved into the quality control ('QC') area of the warehouse which is segregated from the goods–in and main storage locations.

At the QC area, an assistant will inspect the raw materials for any signs of damage, including confirming that any tamper–proof seals are not broken and, if satisfactory, will change the status of the GRN to 'fully received'. This shows the goods as available for use within the manufacturing process. Once the goods have passed QC, they are reloaded onto the forklift truck and moved to their storage location. Each storage location has an individual barcode that is scanned with the handheld scanner and updates the system with the location of the goods.

Manufacturing of finished goods

Medicines are manufactured in sequentially numbered batches, each with a traceable date of manufacture and expiration date. The production team is responsible for releasing a sequentially numbered bill of materials ('BOM') for each batch of medicine to be manufactured as well as a matching production order. The BOM contains details of the exact quantities of each of the raw materials that are to be delivered from the relevant storage locations to the manufacturing facility. No review is carried out over the sequential numbering of batches or BOMs for completeness.

APPENDIX (continued)

Assistants receive a notification on their handheld scanner when a new BOM is available. They retrieve the raw materials in the BOM from each storage location noted on the scanner and scan the location barcode and the item barcode to update the inventory system with the raw materials used within a particular batch of medicine. They then move the physical raw materials to the manufacturing area. In some cases, the assistants need to weigh a quantity of raw materials for use in the manufacturing process and Pharmalux has large scales available within the warehouse for this purpose. Once the raw materials have been delivered to the manufacturing area, the assistant marks the BOM as complete on their handheld scanner and this automatically updates the inventory records transferring the cost of raw materials to work in progress.

On completion of the manufacturing process, the resulting finished goods are transferred to the finished goods storage location. The production manager confirms the quantity of goods and signs off the completed production order which results in the inventory system being updated to remove work in progress and the completed items being recorded as finished goods in the relevant finished goods storage location.

Issue of finished goods

The sales team releases a picking list generated within the ERP system from the customer order. The assistants receive a notification on their handheld scanner, which will state the batch number of the medicine that should be picked. Medicines are despatched on a first–in–first–out basis. The assistants pick the finished goods from the storage location and scan the location and item barcodes. This creates a goods despatch note (‘GDN’) in the ERP system that is marked as ‘issued pending check’.

An assistant will perform an independent check of the medicines prior to packing them for transportation. This check involves agreeing the customer, address, medicines requested and quantity to the customer order and to the GDN. Once this check is performed, the assistant will mark the GDN as ‘final issued’ on their handheld scanner. Every quarter, the warehouse manager will review an exception report of any unfulfilled picking lists and GDNs during that period and will follow up on any issues within two working days.

Holding of inventory

Access to the warehouse is controlled by electronic key cards that are programmed to only allow access to authorised staff members. Within the warehouse, some finished medicines are segregated in a separate area with a further number keypad entry code required to access it.

Pharmalux holds raw material inventory that is owned by a third–party company A+ Pharmaceutical Supplies Limited and this is physically segregated from the inventory owned by Pharmalux. When items of consignment inventory are received as goods–in, they are stored in a separate area and not recorded within the company’s inventory records.

Question 15 (20 marks)

It is October 20X3. You have been asked to manage the audit of Dalriada Dairy Products plc ('Dalriada') as the previous audit manager, who dealt with the audit for the last 15 years, has recently retired. The audit planning has been completed for the financial year to 31 December 20X3 and an interim audit is about to commence.

From the audit files, you have ascertained the following information:

1. Dalriada achieved a listing on the London Stock Exchange (LSE) six years ago. It is involved in the purchase of milk from the farming community, in the processing of the milk to produce cheese, cream, etc. and in the sale and distribution of the products to wholesalers. Dalriada has production facilities in six locations throughout the UK.
2. Dalriada has been a client of the firm for over 20 years. It has been part of the same partner's audit portfolio for the entire period. The financial director is the brother of the audit partner.
3. The firm has recently received some information from a former transport manager at Dalriada, who was made redundant. They have stated that the drivers have been instructed by one of the directors to alter the vehicle tachographs to circumvent the accurate recording of driving hours and speeds. You have some concerns over the motivation behind the supply of this information but are aware that it ought to be considered as part of the audit process.

In light of this information, you decide to prepare a short note of the issues which concern you for discussion with the audit partner.

Required:

Prepare information in which you:

a) Evaluate the specific risk factors which require addressing in relation to your firm's continued involvement with the audit engagement; and

(12 marks)

b) Recommend any relevant safeguards or actions your firm should put in place to reduce these risks.

(8 marks)

(20 marks)

Question 16 (29 marks)

You are the audit partner for High Five Ltd ('High Five'), which manufactures smart phones. The company has been experiencing significant trading difficulties caused by severe price competition in the marketplace and high development expenditure incurred in connection with designing a new generation of phone.

Your firm is currently auditing High Five's financial statements for the year ended 30 June 20X4. Matters contained in the draft Audit Highlights Memorandum have made you question whether it is appropriate for the accounts to be prepared on a going concern basis. These matters are as follows:

1. The company has recorded trading losses of £550,000 in the year, causing the company's draft balance sheet at 30 June 20X4 to show a deficit in the shareholders' funds of £100,000;
2. The company has a bank overdraft of £250,000 which is in excess of its agreed overdraft limit of £200,000. Correspondence with the bank indicates that as the overdraft is unsecured the bank is not prepared to increase the facility and is insisting that the balance be brought within the agreed limit by 31 October 20X4, the date on which the overdraft is due for renewal. A guarantee has been sought from the parent company to act as security for the bank on the renewal of the overdraft facility;
3. High Five owes its parent company £150,000 for the supply of raw materials and components. Settlement of this amount is six months overdue. The parent company has been asked to provide a letter confirming that it will not press for payment; and
4. High Five's budgets indicate that a loss of £100,000 was expected for the year to 30 June 20X4 followed by a healthy return to profit in the year to 30 June 20X5. The audit team has been told by management that the budgets are going to be reappraised.

   The finance director has asked what the effect would be on the audit report and audit opinion if it is concluded that there is a material uncertainty in relation to going concern.

Required:

1. Design further audit testing which you require to carry out to satisfy your firm in relation to going concern; and

(19 marks)

2. Evaluate, if it is concluded that there is material uncertainty in relation to going concern,

   i. the different circumstances that could result in a modified audit opinion or audit report; and

   ii. the subsequent modification to the audit opinion and/or audit report.

(10 marks)

(29 marks)

Question 17 (48 marks)

It is December 20X8 and you are the audit manager on the external audit of the financial statements of Hobson Mowers Limited ('Hobson') for the year ending 31 January 20X9. Hobson has been a client of your firm for several years and this is your first year as audit manager. You are currently preparing sections of the audit strategy memorandum. Hobson was established 30 years ago and is a successful supplier of grass cutting machinery to the domestic and commercial market across Scotland, representing a number of leading brands. In recent years, Hobson has grown from one showroom in the Scottish Borders to operating from seven locations throughout Scotland and one in North England. The most recent expansion was the development during 20X8 of a new showroom near Alnwick, Northumberland.

Each location has a showroom, a spare parts department and a fully equipped workshop. The company operates three divisions: domestic, commercial and parts and servicing. More information on each division and other relevant information can be found in the points forward schedule from the prior year audit file (Appendix 1).

As part of the audit planning process, the audit engagement partner, Joanna Scott, met with the company's finance director Jim Rae. At this meeting, Jim provided a copy of the most recent management accounts for the 10 months ending 30 November 20X8, which have been analysed by the audit data analytics department of your firm and their audit data analytic software (Appendix 2). A number of other matters were also discussed and noted by Joanna (Appendix 3).

Following the planning meeting, Joanna has asked you to prepare sections to be included in the audit strategy memorandum, including an evaluation of the results of the audit data analytic exercise for the purpose of the planning analytical review, and an evaluation of any additional risks identified from your review of the information gathered during the planning process. However, she does not want you to outline the audit approach to the risks at this stage as these will be discussed once she has had an opportunity to review your work.

Required:

1. Evaluate the results of the audit data analytic exercise for the purpose of the planning analytical review

(30 marks)

2. Evaluate any additional audit risks identified from review of the information gathered

(18 marks)

(48 marks)

Appendix 1 (Question 17) – Points forward schedule from prior year's audit file

Hobson sells and services domestic and commercial grass cutting machinery from its showrooms in a number of locations throughout Scotland and North England via its three divisions.

Domestic

This division sells grass cutting machinery aimed at residential owners. This division has consistently performed well and margins are generally high. However, in recent years, Hobson's have found it difficult to grow revenue from this side of the business. As a result, Hobsons have directed attention to changing their product offering from traditional fuel mowers to new eco–friendly models. Industry analysis supports that these products are premium–priced with margins around 5% higher than traditional models and are attractive to clients, as they generally require less after sales servicing.

Commercial

Commercial sales are the largest revenue contributor in the business, however margins are generally lower than in the domestic business. The main clients include local councils and other private businesses responsible for the upkeep and maintenance of large–scale public and private landscapes and gardens.

Parts and Servicing

This division has been achieving significant growth in recent periods from commercial customers and this is expected to continue. A large portion of Hobson's Parts and Servicing inventory is small high–value parts. The company has a number of service vehicles and staff available to carry out repairs either at the workshops attached to each showroom or at clients' sites.

Debt management

The company offers payment terms of 30 days for domestic sales and 45 days for its other two divisions. The company has a designated debt recovery team who regularly review outstanding debts and, where necessary, follow up overdue balances.

Parts inventory counting

Management decided that from February 20X8 a full inventory count of the parts inventory will not be undertaken at the year end. Instead, perpetual inventory counting will be undertaken on a monthly basis which is planned to ensure that all items are counted at least once during the financial year.

New showroom development and financing

In February 20X8, the company acquired land and a building which has allowed them to expand into North England. The building will be re–developed into a new showroom and service department during the first quarter of the 20X8–X9 financial year at a cost of £400,000. The expansion is being undertaken following the withdrawal from the area by a competitor which has created an opportunity for Hobson.

The company also plans to spend £50,000 on maintenance and refurbishment of three of its other existing showrooms at the same time under its normal property refresh cycle. These costs will be financed by a bank loan repayable over 10 years which is secured on the building and is subject to compliance with a covenant that the company must maintain a current ratio of at least 1.1:1 at all times.

Appendix 2 (Question 17) – Results of audit data analytical routine: planning analytics prepared by J Sinclair, data analysis manager

A Objectives of audit data analytic routines – planning analytics

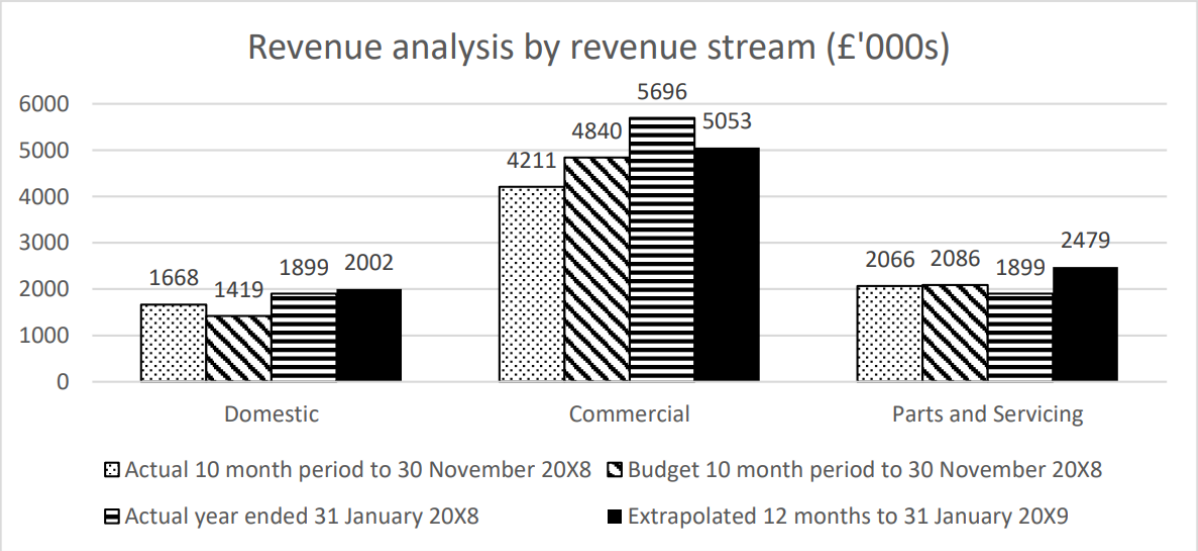
i. Revenue stream analysis for 10 month period to 30 November 20X8 (actual and budget), 12 months ended 31 January 20X8 and extrapolated revenue for year ended 31 January 20X9 for key revenue lines (Domestic, Commercial, Parts and Servicing)
ii. Calculate gross profit margin per revenue stream (Domestic, Commercial, Parts and Servicing) for actual 10 month period to 30 November 20X8, budget 10 month period to 30 November 20X8 and actual year ended 31 January 20X8
iii. Summarise net book value of property, plant and equipment between 30 November 20X8 and 31 January 20X8
iv. Calculate current ratio at quarter end during 10 month period to 30 November 20X8 and as at 30 November 20X8
v. Summarise overdraft utilisation at quarter end during 10 month period to 30 November 20X8 and as at 30 November 20X8
vi. Calculate performance ratios: Inventory and trade receivable days for period to 30 November 20X8, budget for period to 30 November 20X8 and actual for year ended 31 January 20X8

B Cleansing of input data – completed J Sinclair 12 December 20X8. No issues to report.

C Completeness and integrity check of input data – completed by J Sinclair 12 December 20X8. No issues to report.

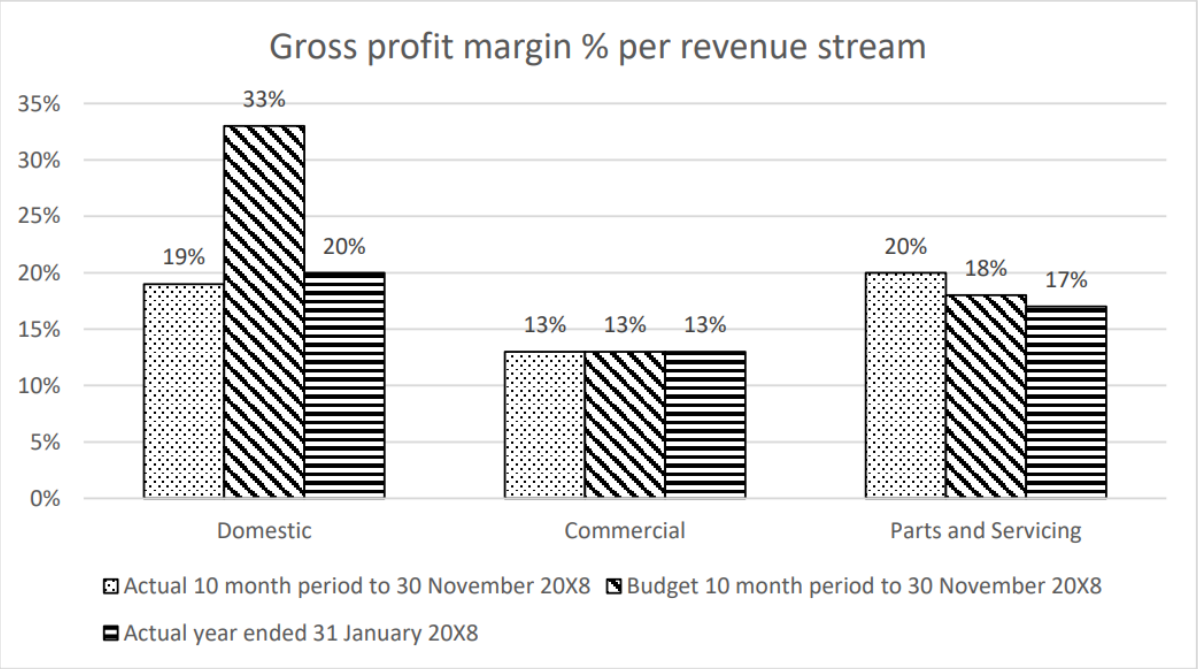
D D/E. Results and analysis

Output 1 – Revenue stream analysis for 10 month period to 30 November 20X8 (actual and budget), 12 months ended 31 January 20X8 and extrapolated revenue for year ended 31 January 20X9 for key revenue lines (Domestic, Commercial, Parts and Servicing)

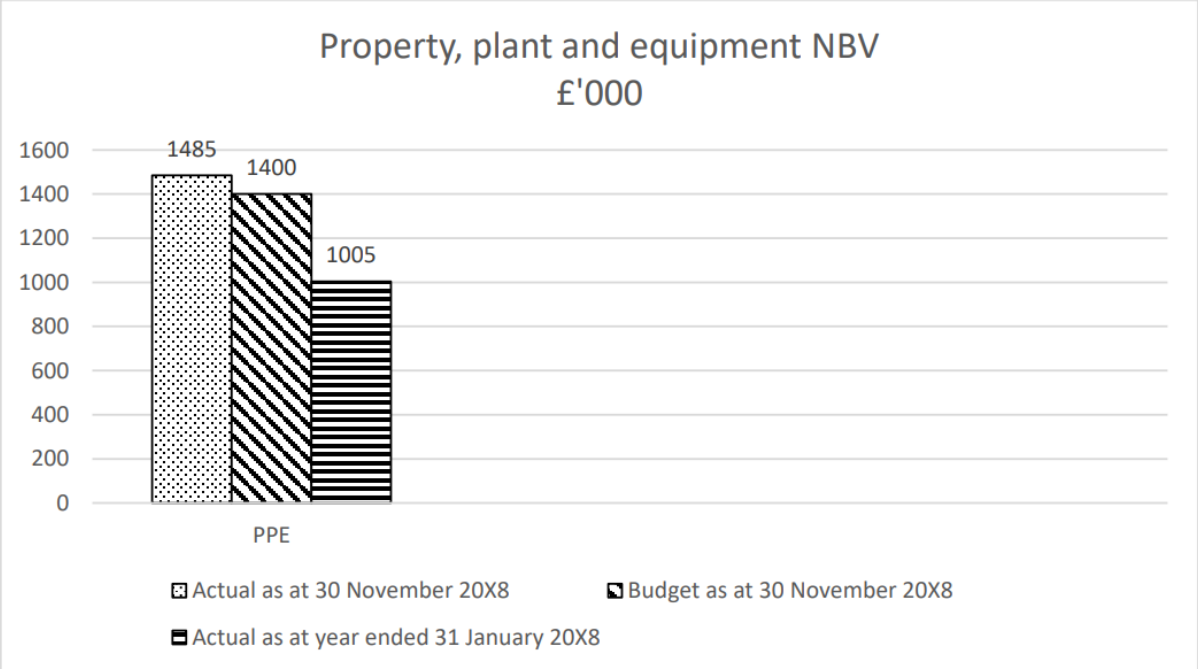


Appendix 2 (Question 17) (continued)

Output 2 – Gross profit margin per revenue stream (Domestic, Commercial, Parts and Servicing) for actual 10 month period to 30 November 20X8, budget 10 month period to 30 November 20X8 and actual year ended 31 January 20X8

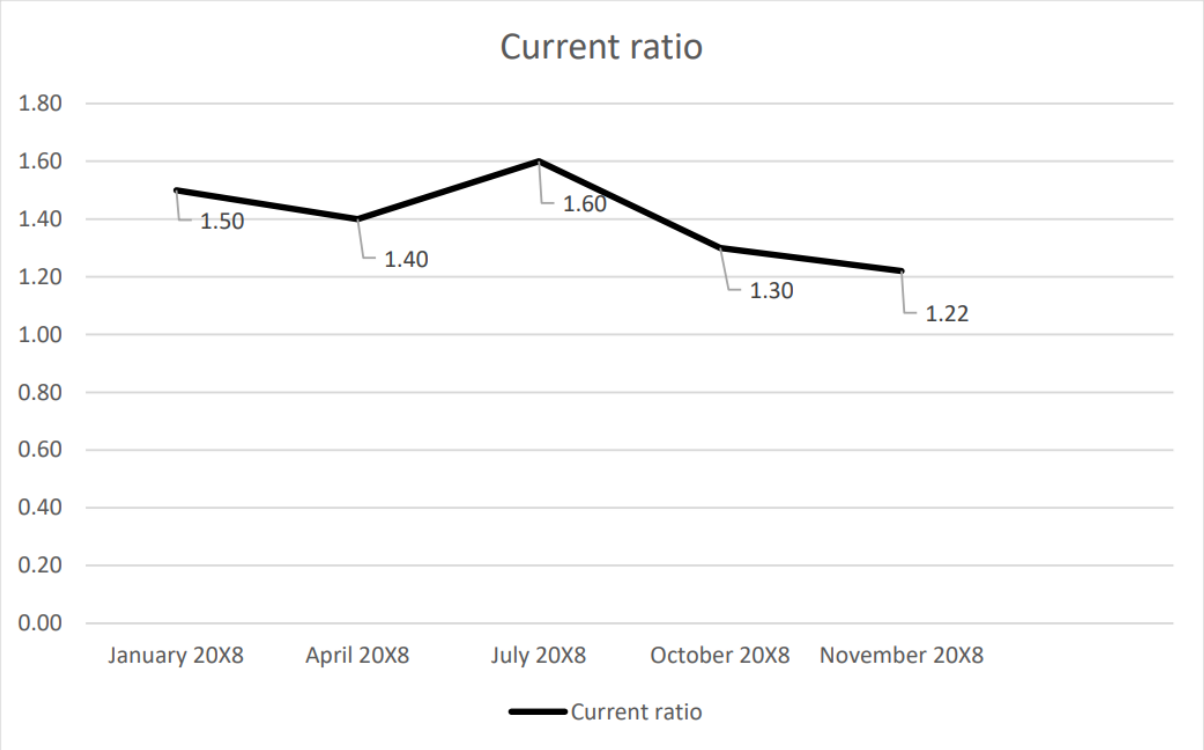


Output 3 – Comparison net book value (NBV) of property plant and equipment between 30 November 20X8 and 31 January 20X8

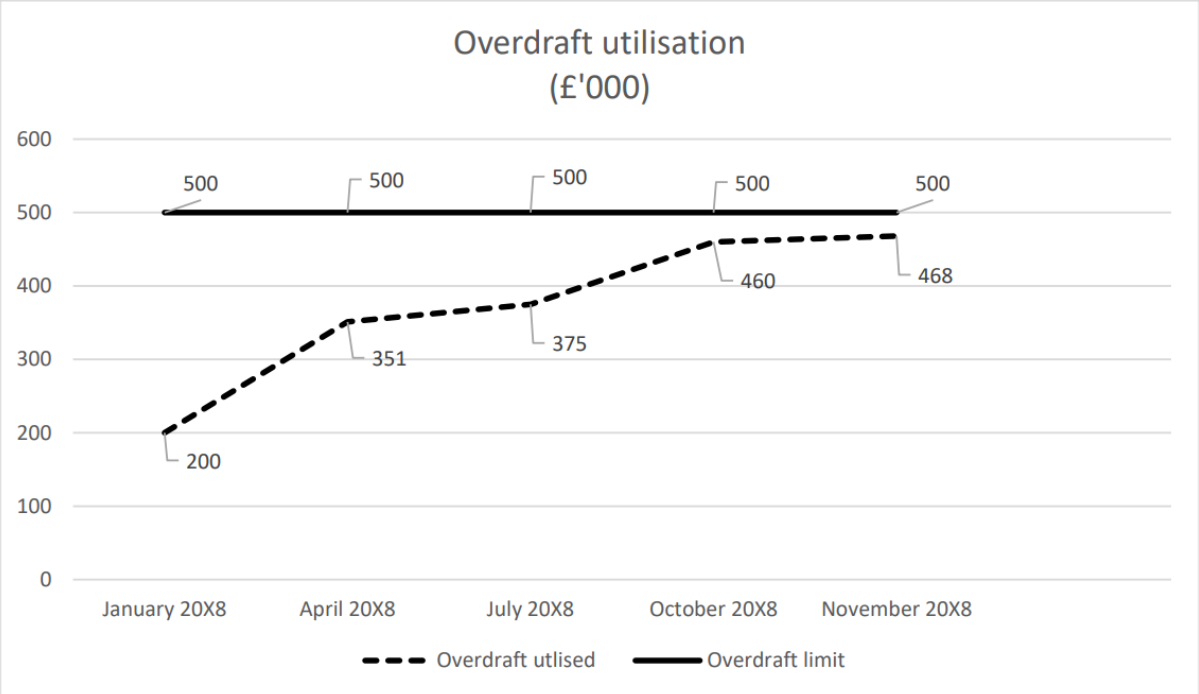


Appendix 2 (Question 17) (continued)

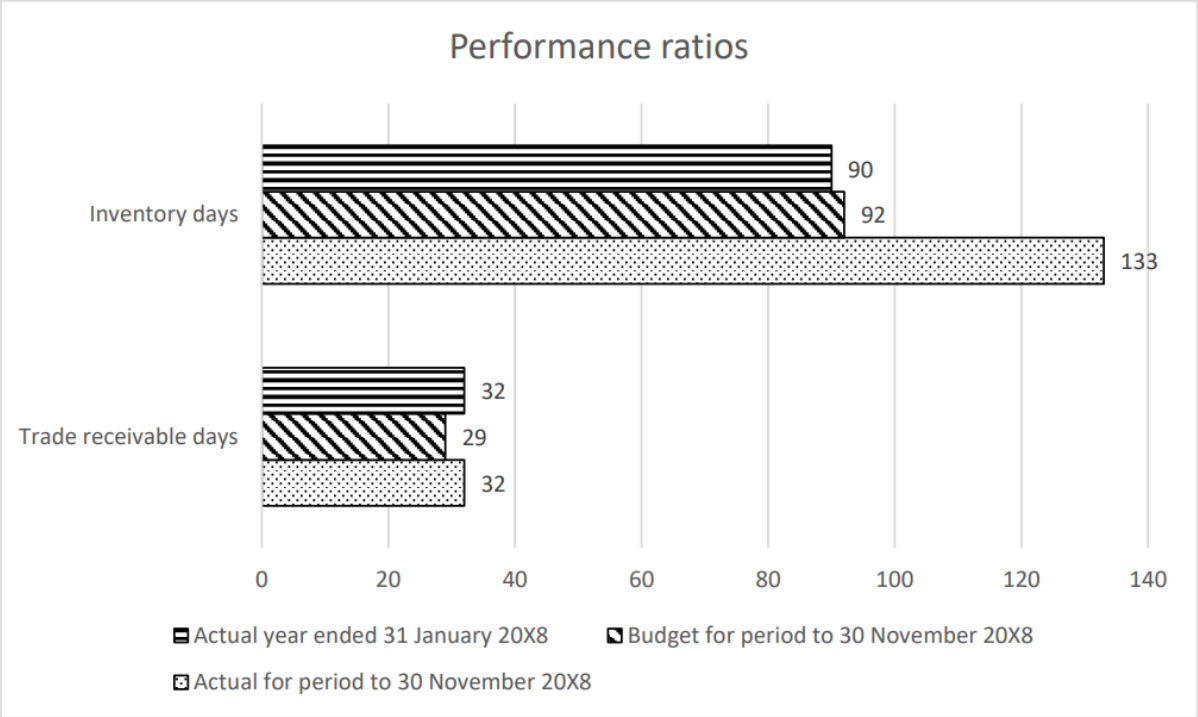
Output 4 – Current ratio at quarter end during 10 month period to 30 November 20X8 and as at 30 November 20X8



Output 5 – Overdraft utilisation at quarter end during 10 month period to 30 November 20X8 and as at 30 November 20X8



Output 6 – Performance ratios: Inventory and trade receivable days for period to 30 November 20X8, budget for period to 30 November 20X8 and actual for year ended 31 January 20X8



Appendix 3 (Question 19) – Notes of meeting with Jim Rae, finance director

The company has had a disappointing year at some showroom locations. In particular, the sales growth expected from the new showroom, which incurred significant capital investment and opened as planned at the end of March 20X8, has not yet been achieved. However, despite this disappointing start for the new showroom, domestic sales, overall, have continued to perform well in 20X8.

The main driver for growth in domestic sales has been a change in consumer habits. There is growing interest in the market for eco–friendly lawnmowers, with consumers turning away from older 'fossil fuelled' models. The company has, therefore, increased its inventory of these new models to meet high demand and has incentivised sales staff to maximise sales in the final quarter to take advantage of the new market trend. Jim confirmed that the company has not made any provision against the value of older inventory as management are confident that the demand for the older models will remain sufficiently strong among buyers who continue to prefer the older technology.

Sales of commercial machinery have been disappointing this year, largely due to external factors. Council budget cuts have had a direct impact on landscaping budgets and investment budgets, reducing equipment spend by some key customers. In some cases Hobson has approved significant discounts in order to achieve sales, especially at the new showroom where commercial demand has been significantly lower than expected. Following a request from a long–term customer, the company has also sold a number of packaged combinations of domestic and commercial machinery to its commercial customers. These packages are not available to domestic customers and are, therefore, only recognised by the sales team under commercial revenue. This does not affect the recording of the associated cost of sales.

Revenue from parts and servicing remains strong and there has been continued growth with the company maintaining consistent margin levels for this division. The fall in council spending on commercial machinery has seen a number of councils increase spending on continued maintenance and servicing of older, existing equipment.

Due to a problem with specification of some commercial machinery, the fulfilment of a large customer order worth £200,000, which was expected to be fully fulfilled in November 20X8 has been delayed and is only 50% complete as at 30 November 20X8. It is expected that only 60% of the machinery will be despatched by 31 January 20X9. The terms of the sale are full payment on completion of the order.

The company had recently received correspondence from a local council planning department complaining that the development of the building in the North of England has not complied with the terms of the approved planning permission with unnecessary damage to an adjoining greenfield site. Hobson disputes this and has contacted specialist planning consultants and lawyers for advice. However, there is a risk that, if the planning complaint is upheld, remedial landscaping work will be required, the cost of which has been estimated by the directors at £40,000.

The company continues to utilise the overdraft facility in place with the company's bank. The overdraft at 30 November 20X8 was £468,000 (31 January 20X8: £267,000). The limit on the overdraft is £500,000 and it is due for renewal in March 20X9. As planned the company received a loan from the bank to fund its capital redevelopment and refurbishment costs. The loan has been classified as a long–term liability in the company's management accounts and will be repayable in equal annual instalments over the next 10 years commencing November 20X9.

Question 18 (30 marks)

It is June 20X4. You are the audit senior on the audit of Pet–Trad Ltd ('PTL'), a chain of five pet shops, located in retail parks around the UK. Inventories are supplied to the shops from a central warehouse located beside the company's head office in Manchester. The company is run by the Managing Director, Alf Wilson, and employs 70 people over its various locations. PTL is an established audit client of your firm and Alf is your main contact at the company.

You are planning the audit of inventories for the year ended 30 September 20X4. Alf has sent you details of the inventories held at each location (Appendix 1), including notes of the results of PTL's internal audit reviews in respect of inventory counting procedures. In your planning discussions with your audit manager, Fred Pazmino, you agreed that, as part of the interim audit testing, your audit team will attend a sample of the perpetual counts in order to assess the controls in place. Fred has therefore asked you to recommend which of the counts your team will attend, together with an explanation of why you plan to attend those. For reference, performance materiality has been set at £900,000.

Following last year's audit, Alf had a discussion with the audit partner, Lucy Simmons, where he explained that PTL's Audit Committee felt that the audit fee could be reduced if the audit team relied more on the work of PTL's internal audit department ('IAD'). Fred has passed you an extract from the audit file on the structure of this department and the work that the department has carried out during the financial year (Appendix 2). He has asked you to evaluate PTL's internal audit department and conclude on whether reliance can be placed on the internal audit department for the purposes of the external audit work.

Required:

Prepare information for Fred recommending, with reasons, which of the weekly inventory counts the audit team should attend.

(22 marks)

Prepare information evaluating PTL's internal audit department and concluding whether reliance can be placed on the internal audit department for the purposes of the external audit

(8 marks)

(30 marks)

APPENDIX 1 (Question 18) – Information on inventory holdings and internal audit visits obtained from Alf Wilson

Internal audit randomly attends a sample of the counts that are carried out across the company, although not every store is visited each year. The warehouse counts are subject to at least one internal audit visit during each year because of the number of product lines and the value of the inventory in the warehouse at any one point in time.

Location	Number of product lines	Approximate Value of inventories	IAD visited during the period	IAD findings during visit
		£		
Warehouse	879	2,200,000	Yes	Yes
Edinburgh	207	376,000	No	N/A
Inverness	298	720,000	Yes	Yes
Kensington	156	872,000	No	N/A
Liverpool	648	1,300,000	Yes	No
Manchester	97	107,000	No	N/A

Notes relating to IAD visits during the year

Since September 20X3, internal audit performed reviews of the inventory counting procedures at the central warehouse, the Inverness store, and the Liverpool store, a new superstore that has opened since September 20X3. Reviews at the warehouse and at the Inverness store were carriedout by Julie Keane (internal audit manager), and the review at Liverpool was carried out by Alice Jenkins (internal audit trainee).

As in previous years, internal audit findings are rated on a tiered basis according to PTL's view ofthe level of risk associated with the finding. The tiers used are serious, moderate and low risk andthese ratings have not changed from the previous year.

Details of internal audit findings

At the warehouse, two moderate risk findings were raised:

- The fact that movements in inventories were not stopped during the count, although there was no evidence that any misstatement of inventories resulted from this; and
- The use of staff that had recently joined the company to carry out the inventory counts. These individuals lacked experience.

In Inverness, there were two moderate risk findings:

- A lack of documented inventory count instructions; and
- A lack of documentation of the results of the inventory count.

No findings were detected at the Liverpool superstore.

APPENDIX 2 (Question 18) – Extract from Audit File

The internal audit department ('IAD') is a relatively small department of four individuals under the department director, Catherine Smilie. Three have the job title of manager and are qualified accountants (Steve Harris, John Anderson and Julie Keane) from a variety of institutes (ICAS, ACCA and CIPFA) and the fourth, Alice Jenkins, is a trainee in her first job since leaving university. Alice is currently undergoing chartered accountancy training. She was hired because part of her degree course was in computer science and none of the other members of the department have any formal IT qualifications although all have some practical experience of computerised systems.

Catherine has worked in the IAD at the company for nine years, having been hired by the original Finance Director following the detection of a minor fraud. Steve has been with the company for seven years, following eight years spent working in a food retail environment. John and Julie have both been working with the company for three years, having been hired from one of the company's direct competitors.

All areas of the company are audited by the IAD following a risk–based plan. High risk areas are reviewed every year, medium risk every second year and low risk areas are examined every three years. Work is carried out by the audit managers using the trainee for assistance where needed. The trainee's work is reviewed and signed off by the specific manager covering the audit area. Managers' work papers are reviewed by another manager. The managers write their reports at the conclusion of audit fieldwork, agree their conclusions with the relevant staff members being audited, and then have their work reviewed by Catherine. PTL then implements the recommendations in the reports. On a quarterly basis, Catherine reports formally to the Audit Committee, who are also responsible for setting the remuneration of all of the IAD staff and setting the IAD annual plan.

Question 19 (50 marks)

You are the audit manager for Magma Laser Components Ltd ('Magma'), a family–run company operating in the North of England. Your firm, Stevens, Selby & Co, has audited the company for a number of years and you are planning the audit of inventory and other issues for the year ending 28 February 20X7.

Magma was founded ten years ago and specialises in designing, developing and manufacturing a comprehensive range of laser products for scientific, industrial, medical and defence applications. Over the years, the company has continued to grow and widen its product range and now operates from a number of sites across England. The three main manufacturing sites each specialise in the production of specific types of lasers. As well as a standard product line. Magma is able to customise products for specific client needs. These manufacturing sites are supported by a central warehouse which holds all raw material components, and a development centre which specialises in product development and testing.

Craig Stevens, the audit partner, recently had a meeting with John Lloyd, Magma's finance director, to assist with the audit planning. He has provided you with an extract of the latest management accounts and related commentary (Appendix 1). Craig has asked you to prepare paragraphs suitable for inclusion in the audit strategy memorandum in which you need to evaluate the audit risks relating to Magma's inventory.

During the year, Magma revised its purchasing process to include the ability to recognise a liability for raw materials on arrival at its warehouse. This is now recognised through a Goods Received Not Invoiced accrual ('GRNI') in the nominal ledger. As this is a new process, Craig has asked you to review the GRNI process notes, provided by John (Appendix 2), and to draft paragraphs suitable for inclusion in a management letter advising on any weaknesses, analysing the implications to Magma, and recommending improvements in the processing of the GRNI.

Required:

1. Evaluate the audit risks relating to Magma's inventory.

(20 marks)

2. Prepare information identifying the weaknesses, analysing the implications and recommending improvements in the processing of GRNI.

(30 marks)

(50 marks)

APPENDIX 1 (QUESTION 19) – Management accounts extract and commentary

Inventory	**Note**	**Actual 30 November 20X6**	**Budget 28 February 20X7**	**Prior Year 28 February 20X6**
		£	**£**	**£**
Raw material	1	2,105,670	1,680,000	1,560,000
Work in progress	2	354,600	55,000	60,000
Finished goods	3	1,344,830	1,085,000	1,010,000
Total inventory		**3,805,100**	**2,820,000**	**2,630,000**
Key Inventory KPIs				
Inventory turnover		5.9	7.1	7.5
Inventory days		61 days	51 days	48 days

Overall position

Increase in inventory reflects the increase in product ranges manufactured, new products launched, and growth of business through 20X6.

The forecasted value of inventory at 28 February 20X7 is £3.55m.

Note:

1. Raw materials

The company has received recent correspondence from a supplier recalling a number of components that have been found to be faulty. The supplier has indicated that these goods should be returned, and a credit note will be issued. An initial review has identified that the majority of these items, valued at approximately £220,000, is still held as raw material inventory.Some items were used in production and are included in finished goods inventory with a totalvalue of £250,000. The cost of remedial work to ensure that these products are safe has beenestimated at £30,000.

Raw materials include an estimate of £254,000 for a bulk order of silica powder received but notyet invoiced.

2. Work in progress ('WIP')

WIP is estimated on a percentage completion basis. WIP is located primarily at the manufacturing site in Leeds, due to a longer production process as more complex product ranges are manufactured at this site. At other sites, WIP balances are minimised at each quarter end, to coincide with inventory counting, through effective production planning.

WIP balances at quarter ends have historically been around £50,000 to £60,000 and the increase at 30 November 20X6 resulted from an issue at the manufacturing site in Leeds where a problem causing delays in production meant that certain products were only 60% completed at the time of the inventory count. In addition, this problem resulted in a number of products being scrapped. This was a 'one–off' event.

3. Finished goods

The company has continued to widen its product lines during the year, introducing several new products and also enhancing established products. It is estimated that production has increased by 20% in the past year and that maximum production capacity has been reached at some of the manufacturing sites. Sales of the new products have not been as high as budgeted resulting in a build–up of inventory at 30 November 20X6. Management is confident, however, that the sales potential is strong for these new lines.

APPENDIX 1 (QUESTION 19) (continued)

4. Inventory provision

Magma makes a 100% provision against items that are considered obsolete. This is determined by a detailed review of inventory items with no movements over a 12–month period or where products are known to have been replaced by new product lines.

5. Other matters affecting inventory

A new competitor has entered the market offering a directly comparable product to one of Magma's key lines, 'Red Optical Lasers' ('ROL'). The competitor's product comes at a slightly higher specification, but lower price than the ROL product. Management has identified that sales of ROL fell 10% in the six months to 30 November 20X6 and the directors continue to monitor developments from this competitor. This product normally makes up 15% of the value of finished goods inventory at any time.

In November 20X6, one of Magma's customers, GTZ Technologies ('GTZ'), entered administration. There are no amounts outstanding in accounts receivable from GTZ. However, Magma has approximately £50,000 of products in finished goods inventory ready for dispatch in January 20X7 to meet an outstanding order. This product had been customised specifically to meet GTZ requirements and Magma does not expect that this can now be sold.

APPENDIX 2 (QUESTION 19) – Goods received not invoiced accrual ('GRNI') process notes

Goods received in the warehouse are booked into inventory using a hand–held scanner by members of the warehouse team. At the same time, a posting is automatically made to the GRNI account in the nominal ledger using standard prices stored in the nominal ledger together with the quantities received per goods received note. The standard prices are reviewed on an annual basis.

A number of laser components are received in bulk in specialist containers which cannot be opened for safety reasons. For these products a member of the warehouse team estimates the overall quantity based on weight and manually inputs into inventory and the GRNI. Posting for both the automated and manual input of the GRNI is as follows:

Dr Inventory
Cr GRNI

When a purchase invoice is received by the accounts department, it is matched to the GRNI and the purchase invoice amount is posted to trade payables in the purchase ledger. Any differences between the GRNI and the invoice are posted to an inventory suspense account in the nominal ledger. At the end of the financial year the balance on the suspense account will be cleared and transferred to the profit and loss account. The posting on matching is as follows:

Dr GRNI
Dr / Cr inventory suspense account (for any difference)
Cr Purchase ledger / Trade payables

Where goods are purchased in foreign currency, a standard exchange rate is used for recording goods into the GRNI and is set at the start of the financial year. When the purchase invoice is received this is translated at the same standard exchange rate to ensure consistency with the GRNI accrual.

The purchase ledger clerk carries out a reconciliation of the purchase ledger to the GRNI each month to ensure that all items in the GRNI for which invoices have been received have been cleared and to check for any items for which the invoice is still outstanding. Once the reconciliation is complete, the purchase ledger clerk files the reconciliation away in date order.

Question 20 (50 marks)

It is August 20X3 and you are an audit senior working on the audit of Crown Insurance Ltd ('Crown'), an online insurance company. Crown's year end was 30 June 20X3 and the audit report is due to be signed by 30 September 20X3. The board of directors ('the board') has requested an accelerated timescale for the audit this year in order to focus on other priorities. The audit fieldwork is complete and you are reviewing Crown's cashflow forecasts and the related management commentary provided by the finance director ('FD') to support the assumption that the company will continue as a going concern.

Crown has been established for 15 years and the business is run from its head office in Swansea. It offers a range of insurance products with customers purchasing directly through its website. The current products it offers are car and home insurance. The amounts that customers pay annually for each policy are known as insurance premiums.

Your audit partner has asked you to analyse Crown's cashflow forecasts and evaluate the reasonableness of the assumptions that Crown's management team have used when preparing these forecasts. As part of your review, you have also been asked to advise on further specific audit evidence to be obtained to ensure appropriate assurance over management's going concern assumption.

The FD has provided you with Crown's quarterly cashflow projections covering the period 1 July 20X3 until 30 June 20X4 as well as full year actual cashflows for the year ended 30 June 20X3 which your audit partner has asked you to use for your evaluation (Appendix 1). Your audit partner has already highlighted to Crown that it should prepare monthly cashflow forecasts and extend the forecast period to 30 September 20X4 so these issues do not need to be mentioned in your analysis.

Required:

1. Analyse the cashflow forecasts provided and evaluate the reasonableness of the assumptions and information given.

(26 marks)

2. Advise on further specific audit evidence to be obtained to ensure appropriate assurance over the issues identified in requirement 1 and management's going concern assumption.

(24 marks)

(50 marks)

APPENDIX 1 (Question 20)

The FD has provided the following cashflow forecast extract which has been used as the basis for management's assumption that the company will continue as a going concern:

	Actual Year end	*Forecast Q1 ending*	*Forecast Q2 ending*	*Forecast Q3 ending*	*Forecast Q4 ending*	*Forecast Year ending*
	30 Jun 20X3 £m	*30 Sep 20X3 £m*	*31 Dec 20X3 £m*	*31 Mar 20X4 £m*	*30 Jun 20X4 £m*	*30 Jun 20X4 £m*
Cash inflows						
Car premiums	106.4	30.5	32.7	31.9	29.5	124.6
House premiums	36.4	9.5	10.6	9.7	8.4	38.2
Pet premiums	–	0.7	1.1	1.6	2.4	5.8
Bank loan	–	–	10.0	–	–	10.0
Total inflows	**142.8**	**40.7**	**54.4**	**43.2**	**40.3**	**178.6**
Cash outflows						
Claims paid	26.4	6.3	3.4	7.9	4.3	21.9
Rent and office costs	7.5	1.9	1.9	1.9	2.1	7.8
Payroll costs	51.5	13.3	13.3	13.3	13.3	53.2
Insurance premiums	23.3	5.3	5.8	5.6	5.3	22.0
Interest expenses	–	–	–	0.1	0.1	0.2
Total outflows	**108.7**	**26.8**	**24.4**	**28.8**	**25.1**	**105.1**
Total net cash inflows	**34.1**	**13.9**	**30.0**	**14.4**	**15.2**	**73.5**

Notes to the cashflow forecast:

Car premiums

To prepare this forecast Crown's management team have used the average growth they have seen in car premiums over the past ten years. The FD noted that the UK has seen steady growth in the number of cars on the roads in the past 25 years however it has recently been published that the increase year on year is slowing due to many households reducing down to one car as a result of an increase in working from home and people trying to be more environmentally friendly.

House premiums

Management has set a prudent increase of 5% on household premiums based on historic performance. It was noted by the management team during 20X2 that a number of customers were switching their home insurance away from Crown and taking advantage of better deals that a number of high street banks were offering when people took out mortgages.

Pet insurance project

Crown is in the process of launching pet insurance due to the increasing number of pets people have acquired as a result of the increase in working from home. This is a new product and the development project is still on–going. The launch was planned for July 20X3, however there have been some delays in decision making and the forecasted launch of the product is now February 20X4. The cashflow figures and growth assumptions have been verified by an independent expert who believes they are prudent and fair.

APPENDIX 1 (Question 20) (continued)

Loan

The board is in final discussions with the bank regarding a loan of £10m to support the pet insurance project. It has highlighted to the FD that it expects the interest rate to be 3% fixed over three years which was similar to the previous loan that Crown had four years ago (now fully repaid). They expect the paperwork to be completed imminently and the loan to be drawn down in October 20X3, with interest payments starting in the following month.

Claims paid

When customers make a claim, it must go through a review process prior to payment. The management team used a summary report from the claims team to prepare the cashflow forecast and used the "claims confirmed" figure. The "claims unconfirmed" are any claims that need extra investigation and historically 40% of these are paid to customers.

	Payment Sep 20X3 £m	*Payment Dec 20X3 £m*	*Payment Mar 20X3 £m*	*Payment Jun 20X4 £m*	*Payment Sep 20X4 £m*	*Payment Dec 20X4 £m*
Claims – confirmed	6.3	3.4	7.9	4.3	8.2	2.2
Claims – unconfirmed	1.6	0.9	2.3	1.1	2.5	0.5

Rent and office costs

Rent and office costs are split 75% rent, 25% office costs (utilities) and the FD has provided you with the following breakdown:

	Actual Y/E 30 June 20X3 £m	**Forecast Y/E 30 June 20X4 £m**
Rent	5.60	5.75
Office	1.85	2.04
Total	7.45	7.79

Due to an increase in energy costs during 20X2, it was agreed to increase its utilities costs in the forecast by 15% on 20X3 figures. Crown has also received a rent increase notice which is effective from October 20X3 and will increase its rent by £50,000 a month.

Insurance premium tax

Insurance premium tax ('IPT') is a tax collected from customers and paid to the Government byinsurance companies. Customers pay IPT as part of their premium and Crown pays what is dueto the Government each quarter based on the premiums it has received. There are two rates ofIPT, a standard rate of 13% and a higher rate of 20%, dependent on the type of policy. For thecashflow forecast the management team has assumed a 13% rate based on the total premiumper quarter.

Question 21 (39 marks)

You are an audit senior at Larch and Fir LLP ('LF') working on the year end audit of the financial statements of Hilltop Wood Limited ('Hilltop') for the year ended 30 June 20X7.

Hilltop' s principal activity is the processing of timber in Scotland and the sale of timber in the UK and overseas. Hilltop operates one of the largest sawmills in the UK from a port on the west coast of Scotland. The wood is transported by sea to the sawmill where it is processed from the felled tree into kiln dried timber, machined white wood timber for builders, pallets, packaging, decking and fencing. The by–products from the process are sold for biomass fuel.

Due to the nature of the work, the company has substantial investments in property, plant and equipment ('PPE'). You are currently working on the PPE section of the audit file, specifically the audit of depreciation.

During the year, Hilltop purchased a 64–metre motorised vessel, a tug and a barge to assist in the transportation of the felled timber to the port local to the sawmill. This is a new and exciting development for the company as previously all timber was transported by a third–party company on behalf of Hilltop.

The audit planning concluded that the controls over depreciation are robust. As such, the planned audit approach is a substantive analytical review of depreciation, with testing at an individual asset level.

To facilitate the review, your audit manager, Sally Birch, has provided you with an extract of Hilltop's asset register and the relevant accounting policies (Appendix 1). Following a meeting with the Hilltop financial accountant, Sally has emailed you a summary of her meeting notes (Appendix 2). Sally has also informed you that the FX rates used by the client have already been considered, agreed to an independent external source and have been determined to be appropriate. Therefore, she has asked you not to consider FX as a potential reason for any variances.

You note from the audit file that the tolerable error has been set at £6,000.

Required:

Using substantive analytical procedures, analyse the depreciation charge for the year for each individual asset, advising, with reasons, whether the charge is reasonable or if further audit work is required.

(19 marks)

Analyse the potential reasons for any variances between the expected and actual depreciation charge.

(12 marks)

Recommend what further procedures would need to be performed to corroborate the reasons for any identified variances.

(8 marks)

(39 marks)

APPENDIX 1 (Question 21) – Extract from Hilltop's asset register at 30 June 20X7 and relevant accounting policies

Extract of accounting policies for Property, Plant & Equipment Property

Plant & Equipment is measured at historical cost less accumulated depreciation.

Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition for it to be capable of operating in the manner intended by the management.

In line with accounting standards, assets purchased in a foreign currency are translated at the exchange rate on the date of purchase and are not revalued at each year end.

The company adds to the carrying amount of an item of Property Plant & Equipment the cost of replacing part of any item if the replacement is expected to provide incremental future benefits to the company and the part which has been replaced is disposed of from the carrying amount.

Depreciation is charged in the first full month of ownership; no depreciation is charged if the transfer of the asset did not occur on the first day of the month.

Depreciation is charged on the following basis:

Land	Not depreciated
Buildings	Straight line over 20 years
Boats and Equipment	10% on a diminishing balance
Plant and Machinery	Straight line over 8 years
Motor Vehicles	Straight line over 5 years

Extract from Hilltop's asset register at 30 June 20X7

Asset	Date purchased / revalued	Cost at 30 June 20X7	Useful Life (years)	Depreciation charge for the year to 30 June 20X7
Land and Buildings				
Sawmill land and various buildings	30/6/20X4	£1,650,000	20	£82,500
Boats and Equipment				
Tug	01/01/20X7	£700,892	n/a	£35,050
Barge	03/02/20X7	£2,000,000	n/a	£83,335
Plant and Machinery				
Bark stripping machine	01/04/20X1	£1,450,000	8	£185,000
Industrial saw	01/09/20X5	£1,000,000	8	£125,000
Electric car	01/07/20X6	£55,000	5	£11,000

APPENDIX 2 (Question 21) – Meeting notes

Client: Hilltop Wood Limited Date: 20 July 20X7
Present: Hilltop financial accountant
Prepared by: Sally Birch

1. The tug was purchased second hand in Greece for €785,000 and was refitted in a Greek shipyard to make it fit for purpose for Hilltop, at a further cost of €300,000. Hilltop paid for the vessel and refit on receipt of the Vessel Safety Certificate on 1 January 20X7. The costs have been translated at the exchange rate on 1 January 20X7 of £1 to €1.12.
2. The barge to be towed by the tug was purchased from a Swedish manufacturer for a value of Swedish Krona (SEK) 25,300,000 following the receipt of the Vessel Safety Certificate on 3 February 20X7. The cost has been translated at the exchange rate on 3 February 20X7 of £1 to SEK12.65.
3. Much of the equipment used by Hilltop is modular and so can be bolted together to form a production line of the processes required. This allows modules to be upgraded as and when the technology has improved. A major module of the bark stripping machine was removed and replaced during the year and the correct adjustments have been included in the cost of the asset.
4. A purchase order was raised for a new fleet car on 1 July 20X6. However, due to manufacturing delays on the continent it took a further eight months for the delivery of the car from the manufacturer. The keys were handed over on 1 March 20X7.
5. The sawmill land and buildings were purchased 15 years ago after the decline of the ship building industry in the town. It was revalued at 30 June 20X4 with the surveyor valuing the land at £950,000.

Question 22 (25 marks)

You are an audit senior at Pullar and Rutledge LLP ('P&H'), a firm of chartered accountants and registered auditors. You are about to begin work on the audit of Fiver Staffing plc ('Fiver') for the year ending 31 December 20X9. The company is an international recruitment business headquartered in Edinburgh, UK that specialises in recruitment for the life–science sector. Fiver was incorporated 30 years ago and has seen large levels of growth in recent years, listing on the London Stock Exchange (LSE) in 20X4.

Fiver has been an audit client for 8 years; however, this is your first year working on this audit and you are feeling quite nervous as you know that the timeline for the year–end audit fieldwork is quite short. You have been reviewing previous years' audit files to bring yourself up to speed on Fiver, and you noticed that there is a strong level of continuity on the audit as the audit manager, Liam Welsh, has worked on the audit for three years and the engagement partner, Cathy Quinn, has been the engagement partner on this audit since Fiver became an audit client. This is reassuring to you, as you feel you will be well supported on this audit and benefit from their expertise.

You know that Fiver is an important client for P&H, and that the firm provides various services to Fiver in addition to statutory audit. You find a breakdown of last year's audit fee and other fee income (Appendix) as you are studying the prior year audit file – as you examine this you remember a conversation you heard last Wednesday between Cathy and Tim Kennedy (P&H Tax Partner) where they were discussing the potential provision of tax services for Fiver, including the preparation of current or deferred tax calculations.

A week before the year–end audit fieldwork commences, you have a meeting with Liam to discuss your role and expectations for the audit. Your responsibilities will cover a wide range of challenging areas, including review of investment impairment and management's going concern forecast. At the end of the meeting, you raise a concern with Liam – you know that your cousin holds some shares in Fiver, and you are wondering if this constitutes an independence issue. Liam tells not to worry – he himself has a shareholding in Fiver, and this has never been an issue on the audit.

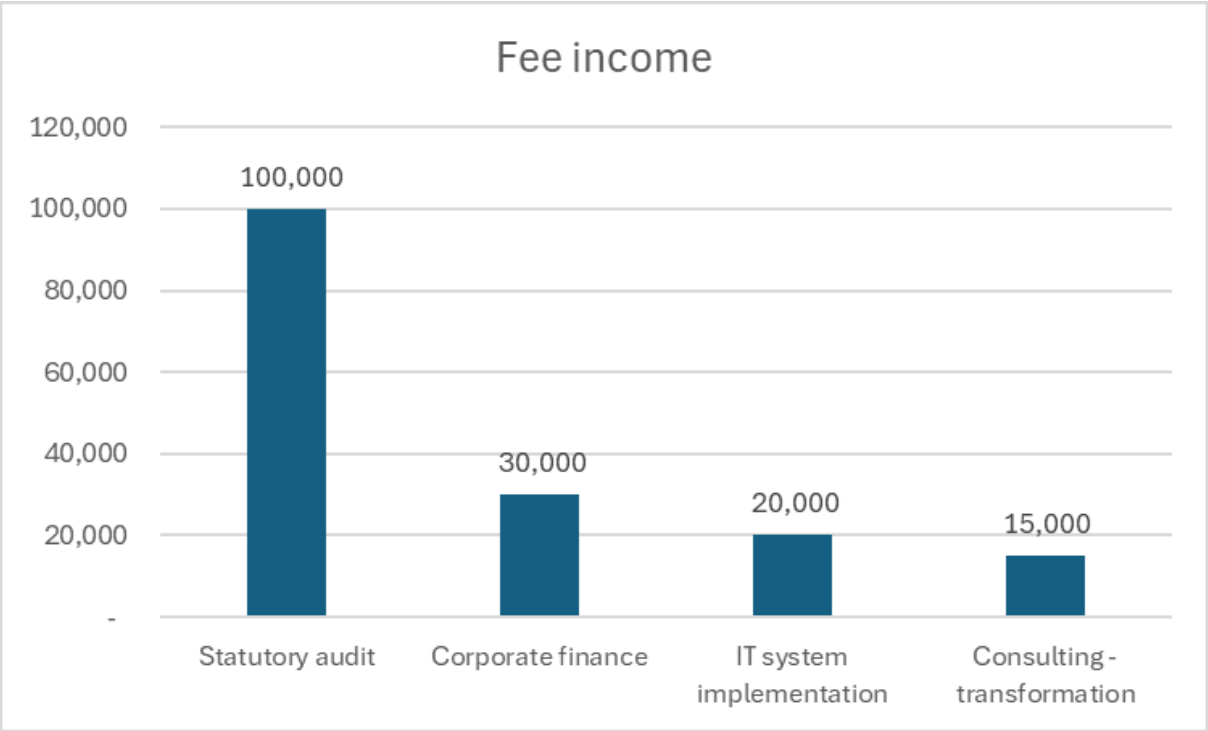
On your first day on site at the Fiver offices you and Liam have a meeting with Fiver's financial controller, John Quinn, who introduces himself as Cathy's husband. After discussing various matters John gives you a Fiver branded pen and notebook. You are pleased with this and even more delighted when John mentions that, at the end of the audit, he might be able to get you tickets for an upcoming international rugby match.

Required:

Evaluate the factors which may threaten the independence of Fiver's audit of the financial statements for the year ending 31 December 20X9. Briefly explain how each threat could be managed.

(25 marks)

Appendix (Question 22) – Fee income from Fiver



Question 23 (27 marks)

You are an audit manager of Edmonds and Sinclair LLP, a firm of registered auditors. You are working on the audit of Golden Advisory Ltd ('Golden') a management consultancy company, who became a client of the audit firm last year.

As it is your first year as audit manager on Golden, the audit partner Caroline Miller has directed you to the prior year audit file to help bring you up to speed. When reading the prior year audit file you notice the following:

i. The acceptance risk analysis included an evaluation of independence risks faced by the engagement team. However, where threats were identified, no safeguards were documented.
ii. The engagement team only had an engagement partner, engagement manager and a junior staff member on the team. The planning documentation indicated that the engagement required an engagement partner, manager, senior and two junior staff but due to the firm's resource availability this was not the case.
iii. Revenue was considered to be a high–risk area in the prior year audit, but work on revenue does not appear to have been reviewed.
iv. A fair value assessment of Golden's properties was carried out by an external expert. Concerns had been raised on the audit file over whether the approach taken by the expert was in accordance with relevant financial reporting standards, but the engagement team failed to discuss this with the audit firm's in–house technical team.

Required

Explain any quality management issues from the prior year audit of Golden and the potential impact these may have. Recommend the actions to be taken by the audit firm to rectify these quality management issues.

(27 marks)

Question 24 (25 marks)

It is May 20X4 and you are an audit senior working to conclude the audit of Renew Clothing plc ('Renew'), a global chain of sustainable clothing stores, for the year ended 31 March 20X4.

You are in the final days of the audit and are reviewing the minutes of a meeting (Appendix) between with your audit partner (John Wilkie) your audit manager (Jess Jones) and the independent engagement quality reviewer (EQR) partner (Cara Henderson) where various matters were discussed.

From these matters Jess has asked you to analyse which should be included in a "points forward schedule", and which should be communicated to those charged with governance.

Required

1. Explain the purpose of a points forward schedule and analyse, with reasons, which specific points from the meeting should be included in the points forward schedule.

(12 marks)

2. Analyse, with reasons, which specific points from the meeting require to be reported to those charged with governance.

(13 marks)

(25 marks)

Appendix (Question 24) Minutes of meeting

1. John confirmed he intended to sign the audit report on 30 May in line with the previously agreed timetable. He commended Jess and the team's efforts which have enabled them to be in a position to sign, despite significant delays in obtaining information from Renew at the start of the audit.
2. Jess informed John that the team discussed the new product line of sustainably made shoes with Laura McIntyre (financial director of Renew). Through enquiry and other audit procedures they have gained evidence that Renew are on track to begin production in October 20X4, following development this year.
3. John confirmed that he has completed review of the revenue audit workpapers. He commented that, while the quality of work was good, it was time–consuming to review due to the high number of samples which had been performed manually.
4. Cara informed John and Jess that she had performed reviews of the financial statements, significant judgements and consultations which had taken place. This led to a discussion on the inventory provision in the financial statements. The estimates used by the directors were highly judgemental and material.
5. Cara also raised for discussion the matter of a theft identified by the audit team following a physical verification of new equipment purchased during the year. Jess confirmed that this was found to be an isolated incident, but that Renew were taking legal action against the employee suspected of stealing the equipment.
6. Jess shared an update she had received from Laura along with a copy of Renew's recent Environment Agency report after an unauthorised discharge of contaminated waste into a marshland near one of Renew's factories. Renew has included an appropriate provision for estimated legal costs in the financial statements.
7. John reminded Jess that a weakness had been identified during internal controls testing, and asked her to ensure that the following weakness was appropriately documented on the audit file:

   When testing the sales system, the sales clerk informed the audit team that sales could be made by individuals outside the sales team. In such situations, sales orders are not always completed.

Question 25 (17 marks)

You are an audit manager planning the audit of PBN Services Ltd ('PBN') for the year ended 31 July 20X7. You have agreed that a substantive approach is appropriate. PBN is an established audit client which supplies and distributes plumbing and heating products. You have received the following extract from PBN's management accounts as at 31 July 20X7 showing property, plant and equipment ('PPE'):

	Property	Computer systems	Vehicles	Total
Cost				
At 1 August 20X6	10,256	1,060	565	11,881
Additions			182	182
Disposals	(320)		–	(320)
At 31 July 20X7	9,936	1,060	747	11,743
Depreciation				
At 1 August 20X6	2,650	424	226	3,300
Charge for the year	530	190	105	825
Eliminated on disposal	(320)			(320)
At 31 July 20X7	2,860	614	331	3,805
Carrying amount				
At 1 August 20X6	7,606	636	339	8,581
At 31 July 20X7	7,076	446	416	7,938

Another member of the engagement team is considering tests for leased assets, revaluations and impairment, and so you are not required to consider these areas.

Required:

Design tests of detail that should be performed to gather evidence to support the PPE balances from the information provided above.

(17 marks)

Question 26 (30 marks)

Yoga Fanatics Limited

You are an audit senior with Black & Miller, a firm of registered auditors. You have recently been seconded to the forensic audit department, a relatively new and growing branch of Black and Miller, to work on an upcoming forensic audit of Yoga Fanatics Limited (Yoga).

It has become clear to senior management at Black & Miller that many employees throughout the business do not understand how a forensic audit differs from other types of audit. Therefore, the first piece of work which you are required to do is to prepare a briefing to all staff evaluating the distinct considerations and requirements which need to be considered when undertaking a forensic audit.

James, the forensic audit manager, has provided you with a brief containing details regarding a suspected fraud at Yoga (Appendix). As the forensic audit department is relatively new, there is not yet software in place to generate a tailored programme of audit procedures. James has therefore asked you to generate a programme of audit procedures tailored to the situation at Yoga.

QUESTIONS

Question 1

Evaluate the distinct considerations and requirements when undertaking a forensic audit.

(10 marks)

Question 2

Using Appendix 1, design an audit programme to meet the required brief of the forensic audit engagement.

(20 marks)

(30 marks)

Appendix (Question 26)

Background information

Yoga is a chain of yoga studios founded in Glasgow which now operates across the UK. The company's revenue is primarily generated from the sale of memberships which allow members to attend yoga classes. Memberships are monthly rolling or annual, starting from the day the member signs up. The company has a year end of 31 December 20X6.

The CEO of Yoga is extremely passionate about yoga and spent the final three weeks of 20X6 on a yoga retreat in Bali. The CFO has been unable to attend to business matters in recent months due to ill health and Carrie the financial controller, has been acting as interim CFO in their absence. With this increased responsibility, Carrie became eligible for the CFO bonus which is directly linked to the profitability of Yoga.

In January 20X7 the compliance officer at Yoga received information from a whistleblower regarding suspicions of fraudulent activity perpetrated by Carrie and Jamie, a finance assistant. Jamie's duties usually cover revenue and receivables, but he had been requested to cover some payroll and HR tasks during the year due to staff shortages.

After hearing from the whistleblower, the CEO and the compliance officer engaged Black & Miller to investigate these suspicions.

Details reported by whistleblower

The concerns raised by the whistleblower involved both potential fraudulent financial reporting and misappropriation of assets.

Information they provided in support of their claims included:

- Carrie has been overheard boasting about "record revenue" in December 20X6 which surprised the sales team as the increase in members in December was in line with prior periods.
- On review of Yoga's draft financial statements, it seemed unusual that no allowance for doubtful debts had been made. Yoga has several aged receivables, relating to an arrangement Yoga entered in early 20X6 with a large corporate business which purchased annual memberships for a large number of employees. The business was given 30–days in which to pay, but no payment has yet been made..
- Approximately £300k has been capitalised in relation to studio refurbishments. Six studios were refurbished during the year, with a project in place to refurbish ten more in 20X7. The project budget was set at £20,000 per studio. Carrie has had full responsibility for the financial management of this project in the CFOs absence.
- During the year three new employees were created in the HR system. However the whistleblower has not seen any evidence of these employees working at Yoga
- Carrie and Jamie were overheard discussing how they will be spending the "additional cash" they've made recently, but there have been no staff–wide increases in pay

Additional information

On review of system access, Carrie has been found to have administrator access to Yoga's systems, allowing her to both post journals and make bank payments without further approval.

Jamie has been found to have edit access to the HR masterfile spreadsheet, as well as the payroll and revenue and receivable systems.

Question 27 (15 marks)

Sinclair's Limited

You are an experienced audit senior working on the audit of Sinclair's Limited (Sinclair's), an oat biscuit manufacturer operating in the Scottish Highlands, for the year ending 31 December 20X6. You have been assessing the design and testing the operating effectiveness of internal controls at Sinclair's and are now analysing the results of your controls testing.

Gracie, your audit manager, has asked you to conclude on the level of reliance which can be placed on internal controls in a few areas:

- Inventory;
- property, plant and equipment (PPE); and
- payroll.

The findings from your controls testing over these areas are presented in Appendix 1. Gracie would also like you to consider the impact which any control deficiencies may have on the substantive testing process.

QUESTIONS

Question 1

Using Appendix 1, evaluate the results of the controls testing for Sinclair's and advise on the level of reliance that can be placed on each of the controls tested.

(10 marks)

Question 2

Explain the impact of control deficiencies on the substantive testing process.

(5 marks)

(15 marks)

Appendix 1

1. Inventory

Phase:	Receive goods
Objective:	Goods accepted are of appropriate quality and quantity
Business context:	Sinclair's receives into inventory all raw materials of production
Control activity(s):	Upon receipt of all raw materials members of the warehouse team perform a quantity and quality check and agree them to the relevant purchase orders
Control testing method:	The audit team has conducted site visits throughout the year and observed the receipt of goods into the warehouse. The control testing was designed to confirm that a quantity and quality check is performed with every receipt of goods, and that these details are agreed to the relevant purchase orders
Findings:	No issues were identified on site visits where the warehouse manager was present. However, on two occasions when the warehouse manager was not present the raw materials were accepted and receipted into inventory with no quantity or quality check performed. When you enquired with the warehouse operators regarding this you were told that no training had been provided to them regarding the processes for the receipt of goods.

2. Property, plant and equipment (PPE)

Phase:	Receive asset/transfer ownership
Objective:	All PPE disposals and transfers are identified and the fixed asset register amended accordingly
Business context:	Sinclair's operate three production line facilities. PPE disposals generally relate to the disposal of manufacturing equipment if this has become worn or a more efficient machine has been sourced
Control activity(s):	User departments complete an asset disposal form which is sent to the finance team. The disposal form must be authorised by one of two named officers, being the operations director or the head of finance.
Control testing method:	Select a sample of disposals made throughout the year and inspect corresponding asset disposal forms to confirm that these have been authorised by the appropriate personnel prior to disposal
Findings:	No issues were identified. Asset disposal forms existed and were appropriately authorised for all sampled disposals.

Appendix 1 (continued)

3. Payroll

Phase:	Work done and time recorded
Objective:	Only genuine overtime is recorded
Business context:	Factory employees at Sinclair's work a standard number of hours per week, as specified in their employment contract. However, ahead of periods of higher sales such as before Burns Night, St Andrew's Day and Christmas staff can be requested to work additional hours as overtime.
Control activity(s):	Overtime hours exceeding 20% of standard hours must be authorised by the factory manager before these are processed by payroll, evidenced by an electronic signature on timesheets
Control testing method:	Select a sample of overtime payments made throughout the year and trace to supporting timesheets, inspecting to confirm that the factory managers authorisation is evidenced
Findings:	No issues were identified for samples selected in the months January – September. However, in the last quarter of the year the factory manager was off sick and did not authorise overtime hours. During these months, the payroll clerk ran an exception report prior to the processing of payroll showing any timesheets which varied 20% or more from standard working hours. The exception report was then reviewed by the Operations Director and signed to evidence her authorisation. The audit team inspected these exception reports and confirmed that these were authorised by the Operations Director in the months of October, November and December, prior to payroll payments being made.

Question 28 (20 marks)

Pizza 4 Now Limited

It is April 20X8 and you are an audit manager reviewing audit testing performed by an audit junior in relation to the client Pizza 4 Now Limited (Pizza), a fast-food delivery company based in central Scotland, for the year ended 31 December 20X7. The company head office and largest operating unit are based in Glasgow and a further four units are located in Edinburgh, Falkirk, Cumbernauld and Livingston.

The audit junior has performed testing over the existence, completeness, accuracy, valuation and allocation, classification and rights and obligations assertions. You are performing a review of the evidence collected and documented in relation to the following procedures in order to assess whether sufficient, appropriate evidence has been gathered.

Procedures:

1. **Additions:** Select a sample of additions from the fixed asset register (FAR) and inspect purchase invoice and bank statements to agree the cost of the asset, date of the addition and nature of the transaction.
2. **Disposals:** Select a sample of disposals from the FAR and inspect sales invoice, trade-in/scrapping invoice and bank statements to check the asset was disposed of and the amounts recorded are accurate.
3. **Revaluations:** Inspect external valuers' reports to agree the valuations and ensure that they comply with the requirements of IAS 16 Property, Plant & Equipment.

Overall materiality has been set at £100,000, with a trivial threshold of £5,000.

Required:

Evaluate the audit evidence collected by the audit junior and conclude on whether the evidence is sufficient and appropriate.

(20 marks)

Note – the completeness of the audit work programme does not need to be evaluated at this stage. Instead, keep your review to the sufficiency and appropriateness of the evidence gathered.

Appendix: Documentation of Testing Performed

Additions testing:

Additions to PPE consist of the purchase of six vehicles and repairs to the Falkirk store. A representative sample of two vehicles has been selected using a random sampling technique, and the repairs have also been selected due to the nature of this item.

Sample selected for testing				**Documented evidence**						
Sample #	*Sample description*	*Addition date*	*Sample value (£)*	*Invoice #*	*Invoice date*	*Invoice addressed to Pizza (Y/N)*	*Invoice Value (£)*	*Variance*	*Agreed to bank statement (Y/N)*	*Notes*
1	Purchase of delivery vehicle 26 invoice 1258006	05/04/X7	25,000	1258006	05/04/X7	Y	25,000	0	Y	No issues noted
2	Purchase of delivery vehicle 28 invoice 1269001	07/08/X7	13,000	1269001	07/08/X7	Y	26,000	13,000	Y	Per enquiry with the finance manager, the sample item selected relates to a vehicle used by both the Falkirk and Cumbernauld locations. As these stores have separate identifiers within the accounting system, the addition has been split to recognise 50% for Falkirk and 50% for Cumbernauld. This sample items relates to the Cumbernauld allocation of the addition.
3	Repairs to Falkirk store storm damage invoice 434	24/10/X7	6,000	434	24/10/X7	Y	6,000	0	Y	No issues noted

Disposals testing:

PPE disposals consist of four items, being the disposal of two pizza ovens each with a NBV of £40,000, the disposal of refrigeration equipment with a NBV of £15,000, and the disposal of an old laptop used for administration with a NBV of £500. A sample of one item has been selected from the population and tested below:

Sample selected for testing				**Documented evidence**					
Sample number	*Sample description*	*Disposal date*	*Sample value (£)*	*Invoice number*	*Invoice date*	*Invoice Value (£)*	*Variance*	*Agreed to bank statement (Y/N)*	*Notes*
1	Disposal of laptop invoice TR0045321	03/04/X7	500	TR0045321	03/04/X7	500	0	Y	No issues noted

Revaluation testing:

Per enquiry with the finance manager, revaluations relate to the head office location which was valued by an external property surveyor on 31 November 20X7. The surveyor has chartered status and has performed the valuation of similar properties in the central belt area. Per an internet search, the property surveyor appears to be married to the finance manager.